LABOUR ACT, 2074 (2017)

Act No. 14 of the year 2074

(Unofficial Translation)

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An Act Made to Amend and Consolidate the Law relating to Labour

Preamble: Whereas, it is expedient to amend and consolidate the law relating to labour in order to make provision for the rights, interests and facilities of workers, to clearly set out the rights and duties of workers and employers, to develop good labour relations, to end all forms of labour exploitation and to increase productivity;

Now, therefore, the Legislature-Parliament has enacted this Act pursuant to sub-article (1) of Article 296 of the Constitution of Nepal.

Table of Contents

Chapter-1 Preliminary....8
1. Short title and commencement:– 8
2. Definitions:– 8
Chapter-2 Basic Provisions relating to Workers....10
3. To remain as minimum standards:–....10
4. Prohibition of bonded labour:–....10
5. Prohibition on engaging children in work:– 11
6. Prohibition of discrimination:–....11
7. Prohibition of discrimination in remuneration for equal work:–....11
8. Right relating to trade unions:–....11
9. Entitlement to remedy:–....11
Chapter-3 Provisions relating to Employment....11
10. Types of employment:– 11
11. Prohibition on engaging in work without an employment contract:–....12
12. Establishment of employment relationship:–....12
13. Provision relating to probation:– 13
14. Employment relationship to continue despite change of ownership:– 13
15. Employment relationship to continue during period on reserve:–....13
Chapter-4 Provisions relating to Trainees and Apprentices 14
16. Trainees may be engaged in work:– 14
17. Provisions relating to workers to apply:– 14
18. Persons may be engaged in work as apprentice workers:–....14
Chapter-5 Provisions relating to Part-Time Workers 15
19. Engagement in part-time work:– 15
20. Prohibition on restricting work elsewhere:–....15
21. Provision relating to social security:–....15
Chapter-6 Provisions relating to Labour Permits....15
22. Prohibition on engaging foreigners in work:– 15
23. Foreign citizen to obtain labour approval to work in Nepal:–....16
24. Labour permit may be granted:–....16
25. Language of the contract:–....16
26. Right to take convertible foreign currency:– 17
27. Remuneration, service terms and facilities, and other arrangements for foreign workers:–....17
Chapter-7 Provisions relating to Working Hours 17
28. Working hours:– 17
29. Prohibition on compelling to work overtime:–....17

30. Provision relating to engaging in overtime work:–....17
31. Additional remuneration to be paid:– 18
32. Fixing of working hours:– 18
33. Arrangement of transport:–....18
Chapter-8 Provisions relating to Remuneration....18
34. Worker to receive remuneration:– 18
35. Payment of remuneration:–....18
36. Annual increment:–....19
37. Festival expenses:– 19
38. Prohibition on deduction from remuneration:–....19
39. Remuneration during period on reserve:–....20
Chapter-9 Provisions relating to Leave....20
40. Weekly leave:–....20
41. Public holidays:–....20
42. Compensatory leave:–....20
43. Home leave:– 20
44. Sick leave:–....21
45. Maternity leave:– 21
46. Birth certificate to be submitted:–....21
47. Remuneration not required to be paid:–....22
48. Bereavement leave:–....22
49. Accumulation of leave:–....22
50. Calculation of year:–....22
51. Leave not a right:– 22
Chapter-10 Provisions relating to Provident Fund, Gratuity and Insurance....23
52. Provident fund amount to be deposited:– 23
53. To receive gratuity:–....23
54. Medical treatment insurance:–....24
55. Accident insurance:–....24
56. Employer to pay the amount:–....24
57. To be as per social security scheme:–....24
Chapter-11 Provisions relating to Supply of Workers....25
58. May engage workers through a supplier:–....25
59. Licence to be obtained:– 25
60. Licensee to submit details:–....26
61. Duties of labour supplier:–....26
62. Cancellation, suspension or fine of licence:– 26
63. Payment of remuneration and other facilities:–....27

64. Duties of principal employer:– 27
65. Inspection, supervision and monitoring:– 28
66. Principal employer's workers deemed:– 28
67. Prohibition on taking fees from workers:– 28
Chapter-12 Provisions relating to Occupational Safety and Health 28
68. Policy on safety and health to be made:– 28
69. Employer's duty towards workers:– 28
70. Employer's duty towards non-workers:– 29
71. Duty of responsible person:– 29
72. Duty of manufacturer, importer and supplier:– 29
73. Duty of worker:– 30
74. Formation of safety and health committee:– 31
75. Protection from action:– 31
76. Stopping work in case of immediate danger:– 31
77. Directive to stop work:– 32
78. Special provisions relating to occupational safety and health:– 33
79. Notice to be given:– 33
80. Arrangements for control of infectious diseases:– 33
81. To be engaged in simple work:– 33
82. Special provisions for treatment of occupational disease:– 33
83. May give directives:– 34
Chapter-13 Provisions relating to Industries or Services of Special Nature 34
84. Special provisions relating to tea estate workers:– 34
85. Special provisions relating to construction workers:– 35
86. Special provisions relating to transport workers:– 35
87. Special provisions relating to workers connected with tourism:– 36
88. Provision relating to domestic workers:– 37
89. Provision relating to seasonal enterprises:– 37
90. Provision relating to enterprises registered abroad operating business in Nepal:– 37
Chapter-14 Provisions relating to Fair Labour Practice 38
91. To comply with fair labour practice:– 38
92. Deemed to have committed unfair labour practice:– 38
Chapter-15 Provisions relating to Inspection 38
93. Provisions relating to Office and Inspectors:– 38
94. Functions, duties and powers of the Office:– 39
95. Functions, duties and powers of Inspector:– 40
96. Duty of Inspector or employee:– 40
97. Necessary cooperation to be given:– 41

98. Report to be submitted:– 41
99. Office may give directives:– 41
100. Labour audit to be conducted:– 41
101. May submit application to a convenient office:– 42
Chapter-16 Provisions relating to Council and Committee 42
102. Formation of Central Labour Advisory Council:– 42
103. Functions, duties and powers of the Council:– 43
104. Vacancy of Council membership:– 43
105. Provision relating to Council meetings:– 44
105A. Provincial Government may form Provincial Labour Advisory Council:– 45
106. Fixing of minimum remuneration:– 45
107. Minimum Remuneration Fixation Committee:– 45
Chapter-17 Provisions relating to Internal Management of Enterprises 46
108. May carry out internal management:– 46
109. May transfer:– 46
110. May depute as a representative:– 47
111. Formation of labour relations committee:– 47
112. Enterprise may evaluate a worker's performance:– 47
Chapter-18 Settlement of Individual Disputes 48
113. May submit individual claim:– 48
114. Application to Office:– 48
115. Office to decide:– 49
Chapter-19 Settlement of Collective Disputes 49
116. May submit collective claim:– 49
117. Negotiation on collective claim:– 50
118. Reconciliation:– 50
119. Dispute to be resolved through arbitration:– 51
120. May form Labour Arbitration Tribunal:– 52
121. Strike permissible for resolution of collective dispute:– 52
122. Arbitrator's decision and collective agreement to be binding:– 52
123. Special provision relating to submission of collective claim:– 53
124. May impose lock-out:– 53
125. May picket or hold assembly:– 54
126. No violation of employment contract:– 54
127. Remuneration during period of strike or lock-out:– 54
128. Suit may not be filed regarding loss:– 54
129. Collective bargaining or agreement to be made in good faith:– 55
Chapter-20 Provisions relating to Conduct and Punishment 55

130. Discipline and performance of duty:–.....55
131. Misconduct and punishment:–.....55
132. Prohibition on sexual misconduct:–.....57
133. Provision relating to misconduct may be made in bye-laws:–.....57
134. May suspend:–.....57
135. Opportunity to submit explanation to be given:–.....58
136. Punishing authority:–.....58
137. Period for deciding:–.....58
138. May reduce punishment:–.....58
Chapter-21 Provisions relating to Termination of Employment.....58
139. Security of employment:–.....58
140. Termination of employment of a worker in time-bound or task-based employment:–.....59
141. May terminate employment voluntarily:–.....59
142. May terminate employment for lack of competence:–.....59
143. May terminate employment on grounds of health:–.....60
144. Notice to be given:–.....60
145. May reduce number of workers:–.....61
146. May resume operation:–.....62
147. Compulsory retirement:–.....62
148. Facilities to be paid:–.....62
149. Workers to receive first priority:–.....63
150. Work experience certificate to be given:–.....63
Chapter-22 Provisions relating to Labour Court.....63
151. Formation of Labour Court:–.....63
152. Majority decision to be valid:–.....63
153. Powers of Labour Court:–.....64
154. May take action for contempt:–.....64
155. May demand bank guarantee or deposit:–.....64
156. May order payment of interest:–.....65
157. May reach settlement:–.....65
158. High Court to perform functions of Labour Court:–.....65
159. To be sent to a body having jurisdiction:–.....65
160. Procedure of cases:–.....65
161. Appeal to Supreme Court:–.....65
Chapter-23 Provisions relating to Complaint, Punishment and Appeal.....66
162. May lodge complaint:–.....66
163. Department or Office may decide:–.....66

164. Labour Court may decide:– 67
165. Appeal:– 68
166. Decision to be implemented:– 68
167. Office to cause implementation of decision:– 69
168. May punish for failure to implement judgment, settlement or agreement:– 69
Chapter-24 Miscellaneous 70
169. Procedure relating to service of notice:– 70
170. Fixing of basic remuneration:– 70
171. Special provisions relating to manager and worker of managerial level:– 70
172. To receive remuneration and other facilities:– 71
173. To increase insurance amount:– 71
174. May delegate authority:– 71
175. Protection for acts done in good faith:– 71
176. Special power of Ministry:– 71
177. Labour Coordination Committee:– 71
178. Transitional provisions:– 72
179. To be as per this Act:– 72
180. This Act not to apply:– 72
181. To formulate and implement guidelines and procedure:– 73
182. Power to make Rules:– 73
183. Repeal and saving:– 73

Chapter-1
Preliminary

1. Short title and commencement:–

(1) This Act shall be called the "Labour Act, 2074".

(2) It shall come into force immediately.

2. Definitions:–

Unless the subject or context otherwise requires, in this Act,-

(a) "Basic remuneration" means the basic remuneration receivable by a worker for employment, and the term also includes the amount of increment in remuneration accruing after completion of one year of the period of employment.

(b) "Chief executive" means the person who bears final responsibility for the affairs of an enterprise.

(c) "Workplace" means the place or premises where a worker works, and the term also includes any place or situation where the worker must remain or go in the course of work.

(d) "Office" means the [1]Labour and Employment Office.

(e) "Lock-out" means a situation in which an employer closes down the enterprise or workplace so as to fully or partially prevent workers from working regularly.

Provided that the term does not refer to a situation in which a worker has been kept on reserve or where work has stopped due to an immediate danger.

(f) "Prescribed or as prescribed" means prescribed or as prescribed in the Rules framed under this Act, and the term also includes a notice published in the Nepal Gazette as mentioned in this Act or the Rules framed under this Act.

(g) "Inspector" means a Senior Labour Inspector, Labour Inspector, Senior Occupational Safety and Health Inspector and Occupational Safety and Health Inspector, and the term also includes any other employee deputed for inspection.

(h) "Council" means the Central Labour Advisory Council formed under Section 102.

(i) "Remuneration" means the basic remuneration receivable by a worker, and the term also includes allowances.

(j) "Enterprise" means any company, private firm, partnership firm, cooperative organization, association or other organization established, incorporated, registered or formed, or in operation, under prevailing law with the objective of carrying on industry, business or service, whether for profit or not for profit.

[1]Amended by the Act Amending Some Nepal Acts, 2075.

(k) "Ministry" means the [2]Ministry of Labour, Employment and Social Security, Nepal Government.

(l) "Principal employer" means an employer who engages workers in work through a labour supplier.

(m) "Employer" means a person or enterprise that engages a worker in work, and the term also includes the manager in the case of an enterprise, and the labour supplier in the case of a worker supplied under this Act.

(n) "Employment contract" means an agreement between an employer and a worker regarding the service, terms and facilities of employment, and the term also includes an appointment letter given by the employer to the worker.

(o) "Period of employment" means the period during which a worker has been in employment with an employer, and the term also includes the following periods:-

(1) period on reserve,

(2) period of leave with remuneration,

(3) period of unpaid leave taken for maternity or maternity care,

(4) period of leave taken for treatment due to an accident occurring while doing, or in the course of, the employer's work.

(p) "Bye-laws" means the bye-laws relating to service terms of workers made by an enterprise pursuant to Section 108, and the term also includes the financial administration bye-laws of the enterprise.

(q) "Department" means the [3]Department of Labour and Occupational Safety.

(r) "Manager" means the chief executive of an enterprise, and the term also includes the head of any branch or unit appointed so as to bear final responsibility or to exercise authority.

(s) "Worker of managerial level" means a worker appointed to the post of manager level or above, having been given authority on behalf of the employer to evaluate, control and supervise the work of workers, and the term also includes the manager.

(t) "Social Security Fund" means the Social Security Fund established under prevailing law.

(u) "Collective agreement" means an agreement entered into between an employer or an organization of employers and a trade union or collective bargaining committee regarding the remuneration, service terms or facilities of workers, or matters of mutual concern of employers and workers.

[2]Amended by the Act Amending Some Nepal Acts, 2075.
[3]Amended by the Act Amending Some Nepal Acts, 2075.

(v) "Collective bargaining committee" means the collective bargaining committee under sub-section (1) of Section 116.

(w) "Labour Court" means the Labour Court constituted under Section 151.

(x) "Worker" means a labourer or employee who performs physical or intellectual work for an employer for remuneration, or a person engaged in work under any designation whatsoever.

(y) "Labour supplier" means a person or organization that has obtained a licence under Chapter-11 to supply workers.

(z) "Strike" means a situation in which workers collectively refuse, wholly or partly, to perform work that they have been regularly performing.

Provided that being on leave, or work having stopped due to an immediate danger, or workers being unable to be present at work or being incapable of working due to circumstances beyond their control, shall not be deemed to be a strike.

Chapter-2
Basic Provisions relating to Workers

3. To remain as minimum standards:–

(1) This Act shall stand as the minimum standard in respect of workers and matters relating thereto.

(2) If an employment contract between an employer and a worker provides for remuneration or facilities lower than those specified in this Act and the Rules framed under it, or contrary to the conditions specified in this Act, such an employment contract shall be deemed to be contrary to this Act, and to that extent shall be void.

4. Prohibition of bonded labour:–

(1) No worker shall be directly or indirectly engaged in bonded labour.

(2) Notwithstanding anything contained in sub-section (1), the following work or service performed by a worker shall not be considered bonded labour:

(a) work or service to be performed as a citizen's duty when required by the nation;

(b) work or service to be performed as punishment pursuant to a decision or order of a court;

(c) work or service to be performed as a member of a community for the benefit of that community.

Explanation: For the purpose of this Section, "bonded labour" means compelling a worker, against his/her will, to perform any work or service by threatening any kind of economic, physical or mental action if he/she does not perform such work or service.

5. Prohibition on engaging children in work:–

No one shall engage a child in any work in a manner contrary to law.

6. Prohibition of discrimination:–

(1) An employer shall not discriminate against a worker on the basis of religion, colour, sex, caste, origin, language, ideological conviction or any other similar ground.

(2) Notwithstanding sub-section (1), the following shall not be deemed to be discrimination:

(a) giving priority in employment to a person based on an inherent requirement of the work or service;

(b) assigning a pregnant worker to convenient and suitable work or service according to her physical condition without reducing remuneration and facilities;

(c) giving priority to a worker with physical disability in work responsibilities suited to his/her physical condition.

7. Prohibition of discrimination in remuneration for equal work:–

(1) There shall be no discrimination in remuneration between workers on the ground of sex for work of equal value.

(2) For the purposes of sub-section (1), whether work is of equal value or not shall be determined on the basis of the nature of the work concerned, the time and labour required to perform it, skill, and the output derived from the work.

8. Right relating to trade unions:–

(1) Subject to this Act and other law, every worker shall have the right to form and operate a trade union, to take membership of such a union or to be affiliated with it, and to engage in other activities relating to trade unions.

(2) In exercising labour rights under this Act and other law, a worker must be dutiful and responsible towards the employer.

9. Entitlement to remedy:–

If any right conferred on a worker under this Act or other law is infringed, such worker may obtain remedy under this Act and other law.

Chapter-3
Provisions relating to Employment

10. Types of employment:–

(1) An employer may engage a worker in any of the following types of employment:-

(a) regular employment,

(b) task-based employment,

(c) time-bound employment,

(d) casual employment,

(e) part-time employment.

Explanation: For the purposes of this Section,-

(1) "Regular employment" means any employment other than that mentioned in clauses (b), (c) and (d).

(2) "Task-based employment" means employment given, or to be given, by the employer by specifying a particular work or service and assigning it to be completed.

(3) "Time-bound employment" means employment given, or to be given, by the employer to a worker by fixing a definite period so as to provide any service or complete any work within that period.

(4) "Casual employment" means employment given, or to be given, by the employer to a worker so as to provide any service or complete any work for a period of seven days or less within a period of one month.

(5) "Part-time employment" means employment given, or to be given, so as to complete work in thirty-five hours or less in a week.

(2) If a question arises as to whether an employment is regular or not, it shall be determined, as prescribed, on the basis of the nature of the work, notwithstanding anything stated in the employment contract.

11. Prohibition on engaging in work without an employment contract:–

(1) An employer shall not engage anyone in work without an employment contract.

(2) Notwithstanding sub-section (1), a written employment contract shall not be required for casual employment.

(3) In concluding an employment contract under sub-section (1), the remuneration, facilities, terms of employment and other matters as prescribed receivable by the worker shall be mentioned in such contract.

12. Establishment of employment relationship:–

(1) An employment relationship shall be established between an employer and a worker from the date or time an employer concludes an employment contract with a worker, or orally provides employment to the worker, or, in the case of casual employment, from the date or time the worker begins work or renders service.

(2) If a dispute arises as to whether an employment relationship has been established between an employer and a worker, the Office shall determine such dispute.

(3) If such a dispute under sub-section (2) is involved in any matter pending before the Department or a court under this Act, the Department or court shall also determine that dispute.

(4) For the purpose of sub-section (2), the Office may order the employer to submit any evidence or record relating to the employment in the employer's possession, and if the employer fails to submit such evidence or record as ordered, an employment relationship between the employer and the worker shall be deemed to have been established.

13. Provision relating to probation:–

In concluding an employment contract with a worker, an employer may place the worker on probation for six months, and if the worker's performance during probation is not found satisfactory, the employer may terminate the employment contract with such worker. If the employment contract is not so terminated, the employment relationship shall automatically be confirmed upon completion of the probation period.

14. Employment relationship to continue despite change of ownership:–

(1) If the ownership or operation of an employer's work or business, or any part thereof, is transferred or changed under law, or such work or business is given to another for operation, or two or more enterprises or businesses merge to create a new enterprise or business, the employment relationship of workers engaged in the work or business so transferred, changed, given to another for operation, or merged, shall continue.

(2) For the purpose of sub-section (1), the liability under this Act or the Rules framed under this Act or, if there is a collective agreement, under such agreement, shall be borne by the employer or enterprise/business acquiring ownership, receiving transfer, or undertaking operation, or by the new enterprise/business formed by merger, or, where ownership and liability of a project are transferred under prevailing law relating to private investment in construction and operation of infrastructure, by the enterprise assuming such ownership and liability.

Provided that if an agreement on interim management arrangements has been reached among the former employer, new employer and the union of the concerned enterprise, the provisions of that agreement shall apply.

15. Employment relationship to continue during period on reserve:–

(1) If any special circumstance arises at the workplace, the employer may suspend work and keep workers on reserve.

Explanation: For the purpose of this Section, "special circumstance" means a shortage of electricity, water, raw materials or financial resources, or any other circumstance beyond control due to which it is not possible to reach or work at, or operate, the workplace.

(2) While a worker is on reserve under sub-section (1), the employment relationship between such worker and the employer shall continue.

(3) An employer with ten or more workers may keep a worker on reserve under sub-section (1) for up to fifteen days; to keep a worker on reserve for longer, the employer must consult the authorized trade union or the labour relations committee.

(4) Other matters relating to keeping workers on reserve shall be as prescribed.

Chapter-4
Provisions relating to Trainees and Apprentices

16. Trainees may be engaged in work:–

(1) An enterprise may, upon entering into an agreement with a training institution, engage a person as a trainee in accordance with the approved curriculum of that institution.

(2) A trainee under sub-section (1) shall not be regarded as a worker for the purposes of this Act;

Provided that if engaged in work contrary to the approved curriculum, such a person shall be deemed to be a worker in regular employment.

17. Provisions relating to workers to apply:–

(1) Notwithstanding Section 16, a trainee engaged in work under this Chapter shall not be engaged in work for more than eight hours a day and forty-eight hours a week.

(2) Provisions relating to occupational health and safety shall apply to a trainee in the same manner as to a worker.

(3) If a trainee meets with an accident while performing training work, the enterprise shall, unless otherwise agreed between the enterprise and the training institution, provide treatment as for a worker, and if maimed, shall provide compensation under this Act.

(4) Matters other than those mentioned in sub-sections (1), (2) and (3) shall be as agreed between the training institution and the enterprise.

18. Persons may be engaged in work as apprentice workers:–

(1) An employer may engage a person in work while teaching skills and providing training.

(2) The training period under sub-section (1) shall not exceed one year;

Provided that where a period is fixed by prevailing law for training in a particular kind of work, or a specific period is necessary, the person may be engaged as an apprentice for such period.

(3) An employer must, at minimum, provide a person engaged as an apprentice under this Section with facilities, without any reduction, of at least the minimum remuneration, sick leave and social security including gratuity, provident fund and insurance.

(4) The employer shall not be obliged to retain an apprentice in employment after the training period ends;

Provided that if the same employer retains the apprentice in employment, probation shall not apply to that person.

Chapter-5
Provisions relating to Part-Time Workers

19. Engagement in part-time work:–

(1) An employer may engage a worker in part-time work;

Provided that a full-time worker may not be engaged in part-time work without his/her consent.

(2) The remuneration of a part-time worker shall generally be fixed on the basis of working hours or on the basis of the employment contract between the parties.

(3) In fixing the remuneration of a part-time worker under sub-section (2), it must be fixed on the basis of at least the monthly remuneration of a full-time worker of the same level doing work of the same nature.

(4) If a worker engaged part-time under this Section is engaged in overtime work, he/she must be paid one-and-a-half times the remuneration receivable under sub-section (2) for such overtime.

20. Prohibition on restricting work elsewhere:–

A part-time worker shall not be prohibited from working elsewhere.

21. Provision relating to social security:–

In the case of a worker working part-time for more than one employer, each employer with whom the worker is engaged must contribute towards provident fund, gratuity or other social security facility on the basis of the basic remuneration receivable by such worker.

Chapter-6
Provisions relating to Labour Permits

22. Prohibition on engaging foreigners in work:–

(1) Without obtaining a labour permit from the Department, an employer shall not engage any foreign citizen as a worker.

(2) Notwithstanding sub-section (1), if the skilled workers required by the employer cannot be supplied from Nepali citizens, the employer may, subject to this Section, engage foreign workers.

(3) Before engaging a foreign worker under sub-section (2), the employer must publish an advertisement in a national daily newspaper to obtain the required skilled workers from

Nepali citizens. If, having published such an advertisement, no application is received as prescribed from a Nepali citizen, or no Nepali citizen is selected, the employer may, with proof thereof, apply to the Department for a labour permit to engage a foreign worker.

[4]Provided that in respect of foreign citizens coming to work under this Act as technicians or experts in the matters mentioned in an investment agreement entered into by various ministries and departments of the Nepal Government, the Investment Board, and associations, institutions or other authorized bodies wholly or partly owned by the Nepal Government, with the approval of the Nepal Government or the concerned ministry, publication of an advertisement shall not be required.

(4) The Department, upon examination of the application received under sub-section (3) and documents annexed thereto, if it appears reasonable, may grant a labour permit for engaging the foreign skilled workers.

(5) An employer who has been granted a permit under sub-section (4) and engages foreign workers must make arrangements to progressively replace foreign workers by training Nepali citizens.

(6) The fee and other arrangements relating to labour permits shall be as prescribed.

23. Foreign citizen to obtain labour approval to work in Nepal:–

(1) A foreign worker must obtain labour approval as prescribed to work in Nepal.

(2) Notwithstanding anything stated elsewhere in this Act, except in situations of diplomatic immunity or where labour approval is not required under any treaty or agreement with the Nepal Government, a foreign citizen working in Nepal must obtain labour approval as prescribed.

24. Labour permit may be granted:–

Notwithstanding Sections 22 and 23, the Department may, keeping a record, grant a labour permit to a foreign citizen in the following circumstances:

(a) the chief executive of an enterprise established with foreign investment or operating with foreign assistance, and workers of a number as prescribed to work in that enterprise;

(b) a technician coming for a period of three months or less to repair machinery or equipment, install new technology, or perform similar other urgent work.

25. Language of the contract:–

In concluding an employment contract with any foreign worker, the employer must make and cause to be made such contract, and the information on the work to be done by such worker and his/her service, terms and facilities, in a language understood by the worker or in the English language.

[4]Amended by the Act Amending Some Nepal Acts, 2075.

26. Right to take convertible foreign currency:–

A foreign worker who has obtained a labour permit under this Chapter may take the remuneration earned by working in Nepal to his/her own country in convertible foreign currency.

27. Remuneration, service terms and facilities, and other arrangements for foreign workers:–

(1) The remuneration, service terms and facilities receivable by a foreign worker for work performed shall be as set out in the time-bound or task-based employment contract between the employer and worker, which shall not be lower than the standard fixed by this Act or the Rules framed under it.

(2) If the employment contract mentions a period, that period shall apply; if not, such employment contract shall remain valid for up to three years.

(3) Other matters relating to foreign workers shall be as prescribed.

Chapter-7
Provisions relating to Working Hours

28. Working hours:–

(1) An employer shall not engage a worker in work for more than eight hours a day and forty-eight hours a week.

(2) A worker must be given a rest period of half an hour after working continuously for five hours.

(3) Where work cannot be stopped and must continue uninterrupted, the rest period must be given to workers in rotation.

(4) The rest period given under sub-sections (2) and (3) shall be counted within the working hours under sub-section (1).

29. Prohibition on compelling to work overtime:–

(1) An employer shall not compel a worker to work beyond the hours mentioned in Section 28(1).

(2) Notwithstanding sub-section (1), where failure to complete certain work is likely to adversely affect the life, safety or health of any person, or is likely to cause serious loss to the employer, the concerned worker may, subject to Section 30(1), be engaged in overtime work.

30. Provision relating to engaging in overtime work:–

(1) Where an employer needs to engage a worker in work beyond the working hours fixed under Section 28, the worker may be so engaged for not more than four hours a day and twenty-four hours a week.

(2) Work performed by a worker without being given compensatory leave under Section 42 shall be deemed to be overtime work.

31. Additional remuneration to be paid:–

(1) When an employer engages a worker in overtime work under Section 30, the employer must pay one-and-a-half times the basic remuneration the worker would receive for regular work.

(2) Notwithstanding sub-section (1), this Section shall not be deemed to bar a collective agreement from providing for a fixed facility instead of additional remuneration for overtime work, or, in the case of a worker of managerial level, providing a facility as stated in the employment contract.

32. Fixing of working hours:–

(1) The time a worker's work begins and ends shall be as mentioned in the employment contract, and if not so mentioned, as fixed by the employer.

(2) Other matters relating to working hours shall be as prescribed.

33. Arrangement of transport:–

Where a female worker is engaged in work such that her working hours begin or end before sunrise or after sunset, the employer must make necessary transport arrangements for her to come to and return from the workplace.

Chapter-8
Provisions relating to Remuneration

34. Worker to receive remuneration:–

(1) Every worker shall receive remuneration and facilities from the date he/she begins work.

(2) The remuneration and facilities receivable by a worker shall be as mentioned in the employment contract, not lower than what is prescribed in this Act and the Rules framed under it.

(3) Except as provided in a collective agreement between employer and worker, remuneration and facilities the worker has been receiving shall not be reduced.

35. Payment of remuneration:–

(1) An employer must pay remuneration to a worker at the time mentioned in the employment contract, and if not so mentioned, at the time fixed by the employer;

Provided that the following workers must be paid as follows:

(a) a worker who works for less than one month, within three days from the date the work ends; and

(b) a worker doing casual work, immediately on completion of the work.

(2) Notwithstanding sub-section (1), the interval between payments of remuneration shall not exceed one month.

36. Annual increment:–

A worker who has completed one year of service shall receive, each year, an annual increment (grade) of an amount equal to at least half a day's basic remuneration receivable monthly.

37. Festival expenses:–

(1) Every worker shall receive, each year, an amount equal to one month's basic remuneration received, as festival expenses, for celebrating a festival according to his/her own religion, culture and tradition.

(2) A worker may make a written request to the employer to receive the festival expenses under sub-section (1) once in a financial year, on the occasion of the main festival celebrated according to his/her own religion, culture and tradition. If no such request is made, festival expenses must be paid on the occasion of Bada Dashain each year.

(3) A worker who has not completed one year of service by the day festival expenses are paid shall receive festival expenses in proportion to the period of service rendered.

38. Prohibition on deduction from remuneration:–

(1) Except in the following circumstances, remuneration receivable by a worker shall not be deducted:

(a) any tax or fee payable under law;

(b) contribution amount payable towards provident fund or insurance, or any other contribution payable for social security;

(c) amount to be deducted under an order or decision of a judicial or quasi-judicial body or arbitration;

(d) amount as prescribed for a service or facility provided by the employer to the worker;

(e) remuneration for time absent from work;

(f) amount equal to the value recorded in stock records or the produced value, where cash or goods of the employer are damaged or lost due to malice or negligence;

(g) amount stated in a collective agreement as deductible from remuneration;

(h) membership fee taken by a trade union;

(i) loan or advance amount provided by the employer to the worker.

(2) In deducting amounts under clause (c), (d), (e), (f), (g), (h) or (i) of sub-section (1), such deduction shall be made from the remaining monthly remuneration after deducting the amounts under clauses (a) and (b) of that sub-section.

(3) The limit, manner and other arrangements relating to deductions under sub-section (2) shall be as prescribed.

(4) If a worker dies, or leaves service for any reason, before an amount deductible under this Section is deducted, such amount may be deducted from any amount receivable by the worker.

(5) If, even after deducting an amount under sub-section (4), the amount deductible cannot be recovered, and the worker has died, the employer must give fifteen days' notice to the person entitled to inherit the deceased's property under law to deposit such amount.

(6) If the amount is not deposited even within the period under sub-section (5), the employer may, within thirty-five days from expiry of that period, apply to a court for recovery of such amount.

39. Remuneration during period on reserve:–

If a worker is kept on reserve under this Act, the employer must pay half of the remuneration the worker would receive, until work resumes;

Provided that unless the notice of being placed on reserve states that the worker must remain present, such a worker need not be present at the workplace during that period.

Chapter-9
Provisions relating to Leave

40. Weekly leave:–

A worker shall get one day of weekly leave each week.

41. Public holidays:–

(1) Every worker shall get, each year, thirteen days of public holiday with remuneration, including May Day, and a female worker shall get fourteen days including International Working Women's Day.

(2) Notwithstanding sub-section (1), if the regulatory body of an enterprise fixes public holidays, that enterprise shall follow the holidays fixed by that body; in other cases, holidays fixed by the employer shall apply.

42. Compensatory leave:–

(1) A worker engaged in work that cannot be stopped or must be continued shall receive compensatory leave for working on a weekly or public holiday.

(2) Compensatory leave must be given within twenty-one days from the date a worker was engaged in work on a weekly or public holiday.

43. Home leave:–

(1) A worker shall get home leave with remuneration at the rate of one day for every twenty days worked.

(2) A worker employed at an educational institution, or entitled to summer or winter vacation, shall not get home leave;

Provided that if such vacation is shorter than the home leave entitlement, home leave shall be given for the shortfall in days.

44. Sick leave:–

(1) A worker shall get twelve days of sick leave with remuneration annually;

Provided that a worker who has worked for one year or less shall get sick leave in that proportion.

(2) A worker requesting sick leave of more than three consecutive days must submit a certificate from a recognized physician.

(3) If suddenly taken ill and needing to go on leave, the worker must inform the employer or a person designated by the employer as quickly as possible by the fastest available means.

45. Maternity leave:–

(1) A pregnant female worker shall get fourteen weeks of maternity leave before or after delivery.

(2) A pregnant worker must compulsorily take leave from at least two weeks before the expected date of delivery up to at least six weeks after delivery.

(3) A female worker taking maternity leave under sub-section (1) shall receive full remuneration for sixty days and shall not receive remuneration for the remaining period.

(4) If a recognized physician recommends that additional rest is necessary for the health of a female worker who has delivered, or her infant, the employer must, continuously following maternity leave, grant unpaid leave of up to one month in addition to the period mentioned in sub-section (1), or grant leave so as to be adjusted against other leave.

(5) A female worker who is seven months or more pregnant and whose baby is stillborn, or who suffers a miscarriage, shall receive leave as if she had delivered.

(6) A worker whose wife dies within sixty days of childbirth may take, from the employer he is engaged with, the remaining leave with remuneration for childcare.

(7) A male worker whose wife is due to deliver shall get fifteen days of maternity care leave with remuneration.

46. Birth certificate to be submitted:–

A female worker who has taken maternity leave must submit a copy of the birth certificate, as prescribed, to the employer, except where the newborn infant has died.

47. Remuneration not required to be paid:–

Notwithstanding anything stated elsewhere in this Chapter, if arrangements exist for a female worker to receive remuneration for the maternity leave period from the Social Security Fund, the employer need not, to that extent, pay remuneration for such leave period under this Chapter.

48. Bereavement leave:–

(1) If the husband or wife of a worker dies, or the worker himself/herself has to observe mourning rites (kiriya) according to his/her family religion, or a married female worker has to observe mourning rites on the death of her mother, father, mother-in-law or father-in-law, such worker shall get thirteen days of bereavement leave.

(2) A worker taking bereavement leave under sub-section (1) shall receive full remuneration.

49. Accumulation of leave:–

(1) A worker may accumulate home leave up to ninety days and sick leave up to forty-five days.

(2) If a worker leaves service for any reason or dies, the worker or, as prescribed, a member of the worker's family, shall receive a lump-sum amount for accumulated home leave and sick leave at the rate of the worker's last basic remuneration.

(3) A worker who accumulates leave beyond the period mentioned in sub-section (1) shall, at the end of each year, receive the amount payable for such excess leave at the rate of his/her basic remuneration.

50. Calculation of year:–

For the purpose of leave, the year shall be calculated as follows:

(a) as fixed by law where so fixed;

(b) as fixed by the regulatory body where so fixed;

(c) as mentioned in the employment contract, where not fixed under clause (a) or (b); and

(d) according to the fiscal year of the Nepal Government, where not fixed under clauses (a), (b) or (c).

51. Leave not a right:–

(1) Other than sick leave, bereavement leave and maternity leave receivable by a worker under this Chapter, other leave shall be merely a facility and may not be claimed as a right.

(2) The employer may, citing reasons based on workplace needs, refuse, postpone, deduct, or change the time of leave other than that mentioned in sub-section (1) requested by a worker.

Chapter-10
Provisions relating to Provident Fund, Gratuity and Insurance

52. Provident fund amount to be deposited:–

(1) The employer must deduct ten percent from each worker's basic remuneration and, adding an equal ten percent, deposit the amount as provident fund contribution.

(2) The employer must deposit the amount under sub-section (1) in the worker's name in the Social Security Fund, effective from the date the concerned worker begins work.

(3) Notwithstanding sub-section (2), in the following circumstances, the employer must deposit such provident fund amount as prescribed:

(a) until the Social Security Fund is established and operational; or

(b) until the law relating to the Social Security Fund becomes applicable to the concerned employer.

(4) In the case of a worker whose provident fund amount was not deposited before commencement of this Act, the employer must deposit the provident fund amount from the date this Act commences.

(5) Amounts accumulated in a retirement fund or similar fund established under prevailing law before commencement of this Act, or held by the employer, as provident fund, must be transferred, as prescribed, to the Social Security Fund after commencement of this Act.

(6) Notwithstanding anything stated elsewhere in this Section, if the provident fund amount cannot be deposited under sub-section (2) or (3) for any reason, the employer must pay the worker an amount equal to ten percent of the worker's basic remuneration, in addition.

53. To receive gratuity:–

(1) The employer must, each month, deposit an amount equal to 8.33 percent of each worker's basic remuneration as gratuity.

(2) The employer must deposit the amount under sub-section (1) in the worker's name in the Social Security Fund, effective from the date the worker begins work.

(3) Notwithstanding sub-section (2), in the following circumstances the employer must deposit such gratuity amount as prescribed:

(a) until the Social Security Fund is established and operational; or

(b) until the law relating to the Social Security Fund becomes applicable to the concerned employer.

(4) In the case of a worker not previously entitled to gratuity before commencement of this Act, the employer must pay gratuity under sub-section (1) from the date this Act commences.

(5) Amounts accumulated as gratuity in a retirement fund or similar fund established under law before commencement of this Act, or held by the employer, must be transferred, as prescribed, to the Social Security Fund after commencement of this Act.

(6) Notwithstanding anything stated elsewhere in this Section, if the gratuity amount cannot be deposited under sub-section (2) or (3) for any reason, the employer must pay the worker an additional amount equal to 8.33 percent of the worker's basic remuneration.

(7) [5].....

54. Medical treatment insurance:–

(1) The employer must arrange medical treatment insurance for every worker for at least one lakh rupees annually.

(2) The premium payable for insurance under sub-section (1) shall be borne equally by the employer and the worker.

55. Accident insurance:–

(1) The employer must arrange accident insurance for every worker, covering any type of accident, for at least seven lakh rupees.

(2) The employer must bear the entire premium for insurance under sub-section (1).

(3) If a worker dies, or becomes fully physically or mentally incapacitated, due to an accident, the worker or his/her legal heir under prevailing law shall receive one hundred percent of the insured sum under sub-section (1) as compensation.

(4) Where a worker is maimed or incapacitated due to an accident, compensation shall be received based on the prescribed percentage of incapacity.

56. Employer to pay the amount:–

If a worker or his/her dependent heir cannot obtain the insurance amount because the employer has not effected insurance under this Chapter or has been negligent or has erred in effecting it, the employer must pay an amount equal to such insurance to the worker or dependent heir.

57. To be as per social security scheme:–

An employer or worker who contributes to a social security scheme under the law relating to the Social Security Fund, so as to receive facilities including provident fund, gratuity and medical treatment insurance, need not make additional contributions or insurance under this Chapter to the extent of such contribution.

[5]Omitted by the Act Amending Some Nepal Acts, 2075.

Chapter-11
Provisions relating to Supply of Workers

58. May engage workers through a supplier:–

(1) The Ministry shall, on the recommendation of the Council, publish in the Nepal Gazette a list of work for which workers may be engaged through a labour supplier.

(2) Under sub-section (1), when an employer engages workers through a labour supplier, the workers must be engaged in work other than the main work of the business or service.

(3) In inviting or submitting any proposal or tender for supplying workers through a labour supplier, or in concluding an agreement to supply workers, the remuneration and other facilities of the workers so supplied must not be less than prescribed in this Act.

(4) A proposal or tender invited or submitted, or an agreement concluded, contrary to sub-section (3) shall automatically be void.

Explanation: For the purpose of this Section, "main work" means the work mentioned at the time of establishing the business and work directly related thereto.

59. Licence to be obtained:–

(1) A company wishing to supply workers must obtain a licence under this Act.

Explanation: For the purpose of this Chapter, "company" means a company established under law.

(2) A company wishing to obtain a licence must submit an application in the prescribed form, with the prescribed fee, details and documents, to the office of the concerned area;

Provided that a company wishing to supply workers in an area with more than one Office must submit an application in the prescribed form to the Department, with the prescribed fee, details and documents, to obtain a licence.

(3) On examining the application received under sub-section (2), if it appears reasonable, the Department or Office must, within fifteen days, taking the prescribed deposit or bank guarantee, issue a licence to the applicant to supply workers, in the prescribed form and on prescribed terms.

(4) In issuing a licence under sub-section (3), the work or service and area of operation relating to worker supply must be mentioned in the licence itself;

Provided that the same company shall not be permitted to supply workers for more than two kinds of work or service.

(5) An institution or person carrying on worker-supply business at the time of commencement of this Act must, within six months of commencement of this Act, incorporate a company for worker supply under prevailing company law and obtain a licence under this Section.

60. Licensee to submit details:–

A licensee who has obtained a licence from an Office must submit prescribed details to the Office, and one who has obtained a licence from the Department must submit them to the Department, within the end of Poush each year.

61. Duties of labour supplier:–

(1) A labour supplier shall not act contrary to the conditions or directives prescribed under this Act or the Rules framed under it.

(2) A labour supplier must, in the capacity of employer under this Act, regularly provide remuneration and other facilities not lower than prescribed under this Act to the workers it supplies.

(3) The labour supplier must regularly obtain information as to whether the principal employer has adopted the necessary measures and arrangements for occupational safety and health of workers at the workplace, and if it is found that arrangements have not been made, must immediately recommend that such arrangements be made.

(4) If the principal employer fails to implement the recommendation under sub-section (3), the labour supplier must inform the Department or the concerned Office.

62. Cancellation, suspension or fine of licence:–

(1) The Department or Office issuing the licence may cancel a labour supplier's licence in the following circumstances:

(a) where the labour supplier submits a written application to cancel its own licence; or

(b) where, even after being fined under sub-section (6), the labour supplier violates the conditions prescribed under this Act or the Rules framed under it, or a directive given.

(2) Before cancelling a licence under clause (b) of sub-section (1), the concerned labour supplier must be given at least seven days' opportunity to present its explanation.

(3) Notice of the decision to cancel a licence under this Section must be published publicly.

(4) Notwithstanding anything stated elsewhere in this Section, a labour supplier whose licence has been cancelled shall not be exempted from bearing any financial liability towards the Nepal Government or any worker by reason of the cancellation.

(5) If a labour supplier fails to comply with the prescribed conditions and directives given under this Act and the Rules framed under it, the Department or Office may suspend the labour supplier's licence as prescribed.

(6) If a labour supplier fails to comply with the prescribed conditions and directives, the Department or Office may fine the labour supplier up to twenty-five thousand rupees for a first offence.

63. Payment of remuneration and other facilities:–

(1) If a labour supplier's licence is cancelled, the labour supplier must, within fifteen days, pay the amount of remuneration and other facilities payable to workers.

(2) If such amount is not paid within the period under sub-section (1), the Department or Office that issued the licence must pay it to the workers from the deposit or bank guarantee furnished by the labour supplier at the time of obtaining the licence.

(3) If the deposit or bank guarantee under sub-section (2) is insufficient to pay the remuneration and other facilities, payment must be made on a pro rata basis. In respect of the remaining amount, if the labour-supplying institution has been dissolved or wound up, prevailing law shall apply; if the institution continues other activities without being dissolved, the Office shall order payment of the remuneration and other facilities from the other assets of that institution.

64. Duties of principal employer:–

(1) When engaging workers through a licensed labour supplier, the principal employer must engage them on the basis of the agreement concluded with that supplier.

(2) Before concluding the agreement, the principal employer must make arrangements so that remuneration and facilities not less than prescribed under this Act and the Rules framed under it are provided to the workers.

(3) The principal employer must regularly obtain information as to whether the labour supplier is regularly providing remuneration and facilities to workers engaged through it.

(4) If, upon obtaining information under sub-section (3), it is found that the labour supplier has not provided remuneration and facilities to workers, the principal employer must immediately request the labour supplier to provide such remuneration and facilities, and must also inform the Department or Office of this.

(5) If, despite the request under sub-section (4), remuneration and other facilities are not provided to the workers, the principal employer must inform the Department or Office.

(6) On receiving information under sub-section (5), or on obtaining information by any other means that the labour supplier has not provided remuneration and facilities to workers, the Department or Office may make payment from the deposit or bank guarantee furnished by the labour supplier at the time of obtaining the licence.

(7) The principal employer must adopt necessary measures and arrangements for occupational health and safety at the workplace.

(8) After an agreement has been concluded between the labour supplier and principal employer, if the remuneration or facility payable to the workers under prevailing law is increased, the principal employer must pay the increased remuneration or facility in addition.

(9) Workers shall not be supplied from an enterprise established with the involvement of the principal employer himself/herself, or with the involvement of his/her manager, director or family member on behalf of the employer.

(10) Other matters relating to employer liability shall be as prescribed.

65. Inspection, supervision and monitoring:–

(1) The Office must regularly inspect and monitor whether the labour supplier has performed work in accordance with this Act, the Rules framed under it, and the directives and conditions prescribed under this Act and the Rules.

(2) If, through site inspection, monitoring or other means, it is found that a labour supplier has not acted in accordance with this Act, the Rules framed under it, or the conditions prescribed for it, the Office may give the labour supplier necessary directives.

(3) It shall be the duty of the concerned labour supplier to comply with directives given under sub-section (2).

66. Principal employer's workers deemed:–

If a principal employer engages workers in work through a person or company that has not obtained a licence to supply workers under this Act, or by obtaining the supply of workers contrary to the provisions mentioned in this Act, such workers shall be deemed to be workers of the principal employer.

67. Prohibition on taking fees from workers:–

A labour supplier shall not be entitled to take any kind of fee or commission from the workers it supplies.

Chapter-12
Provisions relating to Occupational Safety and Health

68. Policy on safety and health to be made:–

(1) Subject to this Act, the Rules framed under it, and directives given under this Act or the Rules, the employer must formulate and implement a policy relating to the safety and health of workers and other persons at the workplace.

(2) The policy formulated under sub-section (1) must be registered with the Office.

(3) Other matters relating to the safety and health policy formulated by the employer shall be as prescribed.

(4) The Office must regularly monitor whether the safety and health policy formulated by the employer under this Section is being complied with.

69. Employer's duty towards workers:–

(1) With respect to occupational safety and health, the employer shall have the following duties towards workers:

(a) to make proper arrangements for safety and health at the workplace and create a safe working environment;

(b) to make arrangements so that use, operation, storage and transport of chemical, physical or biological substances or equipment at the workplace does not adversely affect safety and health;

(c) to provide workers with necessary notice, information and training on safety and health as required;

(d) to provide workers with necessary training and information, in an appropriate language, on the use and operation of equipment or chemical, physical or biological substances related to the work;

(e) to make suitable arrangements for safe entry to and exit from the workplace;

(f) to provide workers with personal protective equipment as required;

(g) to carry out other prescribed arrangements.

(2) The employer shall not be entitled to take any fee or charge from workers for providing any safety-related facility or equipment.

70. Employer's duty towards non-workers:–

(1) The employer must make necessary arrangements so that the safety and health of non-workers coming to, going from, or passing through the workplace is not adversely affected.

(2) Where any work process at the workplace is likely to adversely affect, or pose a danger to, anyone's safety or health, the employer must make arrangements to give signals, place warnings, or provide information regarding it.

(3) An enterprise using or producing chemical substances must manage its operations so that chemical substances, gases or other matters emitted do not adversely affect local fauna, humans and the environment.

71. Duty of responsible person:–

The duty to ensure that any workplace, equipment, article or substance is safe and healthy for the related work shall lie with the responsible person.

Explanation: For the purpose of this Section, "responsible person" means the person having ownership or control over the workplace, equipment, article or substance, and also includes the person or institution acquiring ownership or control through any agreement relating to the use of that workplace, equipment, article or substance.

72. Duty of manufacturer, importer and supplier:–

(1) The manufacturer, importer or supplier of any equipment, article or substance used at the workplace shall have the following duties:

(a) to manufacture, import and supply equipment, articles or substances found, upon testing, suitable for operation and use at the workplace from a safety and health perspective;

(b) to determine the method and process of operating or using such equipment, article or substance so as not to adversely affect the safety and health of persons concerned at the workplace;

(c) to identify dangers likely to adversely affect safety or health from use of such equipment, article or substance;

(d) to conduct necessary research, experimentation or testing to remove or reduce dangers identified under clause (c);

Provided that if there is reasonable ground to rely on the results of research, experimentation or testing already carried out by others, such research, experimentation or testing may be recognized.

(e) to prepare guidance to give full information regarding matters to be adopted from a safety and health perspective in operating and using equipment, articles or substances operated and used at the workplace.

(2) A person or institution that manufactures or installs equipment used at the workplace must give the employer a written report that no adverse effect on anyone's safety or health will result if such equipment, manufactured or installed in this way, is used properly.

(3) If any equipment, article or substance is not used in accordance with the information or advice provided regarding its use by the manufacturer or supplier providing such equipment, article or substance, such equipment or substance shall, for the purpose of this Section, not be deemed to have been used properly.

(4) A manufacturer, importer or supplier of any chemical substance used at the workplace must provide the employer with a chemical safety data sheet and other prescribed details regarding that substance.

73. Duty of worker:–

With respect to occupational safety and health, a worker shall have the following duties:

(a) not to knowingly or negligently do any act at the workplace likely to adversely affect, or endanger, his/her own or another's safety or health;

(b) to give necessary cooperation to the employer and concerned person to fulfil any duty mentioned in this Chapter;

(c) to obtain information about guidance, advice and other matters prepared for safe and cautious operation and use of equipment, articles or substances operated and used at the workplace;

(d) to operate and use such workplace, equipment or substance safely and cautiously in accordance with the guidance, information and advice prepared for operating and using it;

(e) to compulsorily use personal protective equipment provided by the employer.

74. Formation of safety and health committee:–

(1) In an enterprise employing twenty or more workers, the employer must form a safety and health committee, as prescribed, ensuring representation of workers as well.

(2) For the purpose of sub-section (1), workers engaged in work through a labour supplier shall also be counted.

(3) The functions, duties and powers of the safety and health committee formed under sub-section (1) shall be as follows:

(a) to regularly advise the employer on arrangements for safety and health to be made at the workplace and on making such arrangements effective;

(b) to evaluate the safety and health arrangements made at the workplace and to draw the employer's attention to making such arrangements more effective;

(c) to inform the Office if, having drawn attention under clause (b), no action is taken;

(d) to review annually the safety and health policy made under Section 68;

(e) to perform other prescribed functions.

75. Protection from action:–

An employer shall not be entitled to take disciplinary action against a worker solely because the worker has done any of the following:

(a) provided information, notice or complaint against the employer regarding arrangements for safety and health, or assisted in providing it;

(b) performed any act in the capacity of the health and safety committee under Section 74; or

(c) stopped work under Section 76 or 77 due to immediate danger to safety and health.

76. Stopping work in case of immediate danger:–

(1) If, unless work is immediately stopped, there is a likelihood of physical injury or danger to the worker performing the work or another person, or serious effect on his/her health, or unexpected damage or loss to any equipment, article or substance, the worker engaged in such work must inform the employer or the responsible person under Section 71.

(2) On receiving information under sub-section (1), the employer or responsible person must immediately give appropriate directions in that regard.

(3) If the employer or responsible person is not immediately available to be informed under sub-section (1), the worker may stop such work on his/her own.

(4) A worker who stops work under sub-section (3) must immediately inform the employer and responsible person by the fastest available means.

(5) On receiving information under sub-section (4), the employer or responsible person must immediately investigate and remove or minimize the danger thereby created.

(6) If a dispute arises between the worker and employer as to whether an immediate danger requiring work stoppage did or did not arise, or whether the arrangement made to remove or minimize the danger was adequate, either party may apply to the Office for settlement of such dispute.

(7) On receipt of an application under sub-section (6), the Office must investigate, hear both parties, obtain evidence if necessary, and settle such dispute.

(8) The decision made by the Office under sub-section (7) settling the dispute shall be final and shall be binding on both employer and worker.

(9) Notwithstanding anything stated elsewhere in this Section, work shall not be stopped with intent to cause loss to, harass, or take revenge on the employer.

(10) During the period work is stopped under this Section, the employer may engage the worker in other work, subject to the worker's service terms.

77. Directive to stop work:–

(1) If, from inspection or any other source, it appears that there is or is likely to be immediate danger to the safety or health of workers or other persons at an enterprise's workplace, the Office may direct the employer to immediately stop work at that workplace.

(2) In giving a directive under sub-section (1), the cause and ground of the danger must also be stated.

(3) In giving a directive under sub-section (1), if the Office finds any equipment at the workplace unsuitable for operation or use, it may order that such equipment not be used, and in giving such order may also seal or affix a lock to such equipment or part thereof.

(4) If the Office gives a directive to stop work under sub-section (1), the employer must immediately stop work.

(5) An employer dissatisfied with a directive given by the Office under this Section may apply to the Department within seven days of receiving the directive.

(6) The Department must dispose of an application received under sub-section (5) within fifteen days.

(7) Work shall not be resumed during the period under sub-section (6);

Provided that if the Office informs that there is no longer immediate danger to safety or health of any person during that period, work may be resumed.

78. Special provisions relating to occupational safety and health:–

(1) The safety and health standards to be complied with by enterprises engaged in work relating to the following matters shall be as prescribed:

(a) arrangements for eye protection;

(b) arrangements for protection from chemical substances;

(c) arrangements for operation of pressure plants;

(d) arrangements for machine guarding;

(e) arrangements for lifting heavy loads;

(f) other necessary arrangements.

(2) Arrangements relating to testing of pressure plants and boilers shall be as prescribed.

(3) Notification of establishment of an enterprise and other arrangements relating to occupational safety and health shall be as prescribed.

79. Notice to be given:–

If any accident occurs at the workplace, or any person is injured or dies due to an accident, or contracts an occupational disease, the employer must immediately inform the Office.

80. Arrangements for control of infectious diseases:–

(1) The employer must make suitable arrangements for prevention and control of infectious disease at the workplace.

(2) If a worker contracts an infectious disease and needs treatment, the employer may prohibit the worker from coming to work during the treatment period.

(3) If a worker's sick leave is insufficient for such treatment, the employer may direct the worker to adjust it against other leave or to take special unpaid leave.

(4) It shall be the concerned worker's duty to comply with a directive given under sub-section (3).

81. To be engaged in simple work:–

(1) If a female worker becomes pregnant, she must inform the employer, along with a certificate of medical examination.

(2) On receiving such information under sub-section (1), the employer must generally engage the pregnant female worker in work that does not adversely affect her health.

82. Special provisions for treatment of occupational disease:–

(1) If a worker contracts, in the course of the enterprise's work, any occupational disease as prescribed, the enterprise must provide the prescribed treatment expenses for treating

such disease, and if such disease cannot be treated, the prescribed compensation amount to the worker.

(2) Notwithstanding sub-section (1), if the worker is entitled to receive treatment expenses or compensation for occupational disease from the Social Security Fund, the enterprise need not provide the treatment expenses or compensation under sub-section (1).

83. May give directives:–

(1) The Office may inspect, periodically or on an ad hoc basis, whether the employer has made arrangements for safety and health.

(2) If, upon inspection under sub-section (1), it is found that the employer has not made arrangements for safety and health at the workplace as required under this Act or prevailing law, the Office must, fixing a time period, direct the concerned employer to make such arrangements;

Provided that if it appears that failure to make such arrangements immediately would endanger the safety and health of workers or other persons, or adversely affect the environment, the Office must, stating so, immediately direct that such arrangements be made.

(3) The Office may direct the employer to provide necessary information and details relating to any accident, occupational disease, or health and safety of workers and other persons at the workplace.

(4) It shall be the duty of the concerned employer to comply with, and cause compliance with, directives given under sub-section (2) or (3).

Chapter-13
Provisions relating to Industries or Services of Special Nature

84. Special provisions relating to tea estate workers:–

(1) The duties of an employer towards tea estate workers shall be as follows:-

(a) to arrange suitable housing within the tea estate for tea estate workers who do not reside near the tea estate and for their dependent family,

(b) to provide free primary treatment for minor injuries to tea estate workers and members of their dependent family, and to arrange, for that purpose, health treatment materials along with a trained person,

(c) to make arrangements so that daily consumable goods can be made available easily where there is no market facility near the tea estate,

(d) to make suitable arrangements for sports and recreation for the physical and mental development of tea estate workers and members of their dependent family.

Explanation: For the purposes of this Section,-

(1) "Tea estate" means a tea estate registered under prevailing law, and the term also includes the factory, other physical infrastructure and premises established within the tea estate.

(2) "Tea estate worker" means a worker who digs, ploughs, levels, prunes, sows, plants, weeds, cuts, plucks, uproots or does similar other work on the land of a tea estate, and the term also includes a worker engaged in tea processing or in any other work of the tea estate.

(3) "Dependent family" means the family of a tea estate worker who lives with him/her and whom he/she has to support.

(2) Nothing in this Section shall be deemed to bar an agreement between the workers working in a tea estate and the employer regarding the completion of any work of the tea estate.

85. Special provisions relating to construction workers:–

(1) The duties of an employer towards construction workers shall be as follows:-

(a) to provide adequate quantities of tools, equipment and materials necessary for construction,

(b) to arrange temporary accommodation and pure drinking water, and to make arrangements for the supply of necessary food materials, for workers who do not reside near the construction workplace,

(c) to make suitable safety arrangements at the construction workplace.

Explanation: For the purposes of this Section,-

(1) "Construction work" means the work of constructing buildings, roads, bridges, canals, tunnels, internal or international waterways, railways, construction works or powerhouses, telecommunication, telephone or telegraphic structures and other similar structures, and the term also includes the work of installing machinery, tools or equipment in such structures.

(2) "Construction worker" means a worker engaged in construction work.

(2) The person or institution taking responsibility for, or the contract of, construction work shall be deemed to be the employer for the purpose of this Act.

(3) In fixing the rates of remuneration and other facilities for construction workers, representation of the trade union of the concerned level and the association of construction entrepreneurs must be compulsorily ensured.

(4) Other matters relating to construction workers shall be as prescribed.

86. Special provisions relating to transport workers:–

(1) An employer's duties towards transport workers shall be as follows:

(a) to compulsorily arrange at least two drivers to drive in rotation on vehicles carrying passengers over a long route;

(b) to arrange rest for the driver of a vehicle plying a long route at places before reaching the destination;

(c) to pay a transport worker engaged in work for more than eight hours a day one-and-a-half times the remuneration receivable for the overtime worked;

Provided that if a transport worker is given trip allowance, food allowance or similar other allowance, the worker shall receive, as chosen by him/her, only one of such allowance or the one-and-a-half rate;

(d) if a vehicle breaks down and cannot run before reaching the destination, or must be stopped at one place for some reason, to pay the worker fifty percent of the allowance he/she would receive were the vehicle running;

(e) to keep necessary medicine and health treatment materials for first aid in the vehicle.

Explanation: For the purposes of this Section,-

(1) "Long route" means a long route fixed under law.

(2) "Transport work" means the work of carrying persons, animals or goods from one place to another by means of mechanical means.

(3) "Transport worker" means a worker engaged in transport work.

(2) A transport worker driving a vehicle shall not consume any intoxicating substance from at least twelve hours before driving the vehicle until reaching the destination.

(3) The concerned employer may, deeming it misconduct, remove from service a worker who acts contrary to sub-section (2).

Provided that before removing the worker from service, the worker must be given the opportunity to submit an explanation.

(4) If an employer wishes to remove a worker engaged on a vehicle from service because the employer has sold the vehicle in the employer's ownership or ownership has changed for some other reason, the employer may terminate the employment relationship after providing the facility payable for such retirement;

Provided that this provision shall not apply to an enterprise engaged in operating vehicles.

87. Special provisions relating to workers connected with tourism:–

(1) An employer's duties towards workers connected with tourism shall be as follows:

(a) to provide adequate medicine and health treatment materials for first aid when sending workers to the workplace;

(b) to immediately conduct or cause rescue operations if a worker faces distress, a serious health problem, or an accident.

(2) When a worker mentioned in sub-section (1) goes to the workplace, the employer must provide such worker with any one facility chosen by him/her out of field allowance, food allowance or similar other allowance, or one-and-a-half times remuneration for overtime work.

(3) An employer running a hotel, motel, restaurant, jungle safari or other business must distribute the service charge amount collected under a collective agreement, as prescribed.

88. Provision relating to domestic workers:–

(1) The Nepal Government may fix separate minimum remuneration for domestic workers.

(2) Notwithstanding anything stated elsewhere in this Act, the public holidays, weekly leave and other related arrangements for domestic workers shall be as prescribed.

(3) If the employer has arranged food and lodging at home, or assisted with education, for a domestic worker, the employer may deduct the corresponding amount from remuneration.

(4) The employer must allow a domestic worker to celebrate festivals according to his/her culture, family religion, and tradition.

89. Provision relating to seasonal enterprises:–

(1) If a seasonal enterprise is closed during the off-season, workers of that enterprise shall be kept on reserve during the period of closure.

Explanation: For the purpose of this Section, "seasonal enterprise" means an enterprise that can be operated only in a particular season, and the term also includes an enterprise that cannot be operated for more than one hundred and eighty days in a year.

(2) Notwithstanding anything stated elsewhere in this Act, the employer must pay a worker in regular employment an amount equal to twenty-five percent of the remuneration the worker would receive, for the off-season period during which the seasonal enterprise remains closed.

(3) If a question arises as to whether an enterprise is a seasonal enterprise or not, the Office shall decide it.

90. Provision relating to enterprises registered abroad operating business in Nepal:–

If any foreign enterprise engaged in promoting any business, selling any goods, or engaged in any other work in Nepal, violates the employment contract concluded with its representative or worker in Nepal, such representative or worker may file a complaint with the Office or Labour Court under this Act.

Chapter-14
Provisions relating to Fair Labour Practice

91. To comply with fair labour practice:–

The employer, enterprise and trade union must comply with fair labour practice in their dealings with one another in the course of their activities.

92. Deemed to have committed unfair labour practice:–

(1) An employer and trade union shall not commit or cause to be committed an unfair labour practice under sub-section (2) or (3).

(2) An employer shall be deemed to have committed unfair labour practice if it does any of the following:

(a) not complying with, or not causing compliance with, labour law;

(b) imposing a restriction on exercise of a right conferred by labour law;

(c) knowingly creating false evidence with intent to take action against a worker;

(d) doing any act with the sole intent of knowingly causing distress or harassment to a worker;

(e) interfering, or causing interference, in the formation, operation or administrative work of a trade union;

(f) continuing an illegal lock-out;

(g) beating or assaulting a worker;

(h) inciting or provoking workers with intent to create hostility or ill-will among them.

(3) A trade union shall be deemed to have committed unfair labour practice if it does any of the following:

(a) pressuring or threatening a worker to become or not become a member of any union;

(b) forcibly collecting donations or support;

(c) picketing or laying siege to an employer's private residence, or another enterprise of the employer, other than the workplace;

(d) beating or engaging in any other illegal activity against the employer, its representative, or a worker to have its demands fulfilled;

(e) knowingly damaging the employer's property.

Chapter-15
Provisions relating to Inspection

93. Provisions relating to Office and Inspectors:–

(1) The Nepal Government may establish Offices as necessary for implementation of this Act and prevailing labour law of Nepal.

(2) The districts falling within the jurisdiction of an Office established under sub-section (1) shall be as fixed by the Ministry.

(3) The Nepal Government may, by publishing a notice in the Nepal Gazette, appoint one or more Inspectors for any area as needed.

94. Functions, duties and powers of the Office:–

(1) The functions, duties and powers of the Office shall be as follows:

(a) to monitor whether the minimum remuneration or allowance fixed under this Act, the facilities receivable under a collective agreement and the rights conferred on workers and employers by prevailing Nepal law have been implemented;

(b) to regularly monitor whether this Act and the Rules framed under it have been effectively implemented, and to give necessary directives to the concerned party for implementation;

(c) to provide training on standards and codes of conduct made under this Act and other prevailing labour law, and to regularly monitor implementation of such standards and codes of conduct;

(d) to provide necessary technical assistance where requested by workers and employers for providing necessary training;

(e) to direct employers to make available occupational safety and health standards, employee bye-laws, or other necessary related documents;

(f) to implement collective agreements between employer and worker, and decisions made by arbitrators;

(g) to inspect whether children have been engaged in work, and if found engaged, to immediately rescue them and take action against such employer;

(h) to inspect whether an employer has implemented occupational safety and health arrangements under Chapter-12 at an enterprise or workplace;

(i) to observe or inspect machinery, tools, equipment or articles or substances installed at the workplace, and to check whether such machinery, tools, equipment, articles or substances are of the prescribed standard, and to collect samples for testing where necessary;

(j) to conduct or cause periodic or ad hoc inspection of an enterprise or workplace;

(k) to order the concerned enterprise or its officer to make available any electronic record, register, deed or document kept at the enterprise or workplace, and if not made available, to enter such enterprise or workplace and take into its control the original register, deed or document or a copy thereof by giving a receipt;

(l) to obtain information or details on necessary matters from the employer, a worker of managerial level, or other worker of an enterprise;

(m) to cause the employer, a worker of managerial level, or other worker of an enterprise to appear before the Office and record statements, where necessary;

(n) to give necessary directives to immediately correct any act found, through inspection of the workplace or enterprise or from any other source, to have been done contrary to this Act and the Rules framed under it by an employer, worker or trade union;

(o) to keep records of applications, documents, or information received from any other source at the Office; to give a receipt for applications and documents so registered; to keep records of decisions, orders and reconciliations of the Office; and to authenticate and provide copies to anyone requesting a copy of any document;

(p) to perform other functions assigned to the Office under this Act and prevailing Nepal law; or

(q) to perform other prescribed functions.

(2) In exercising the powers under this Section, if the Office finds it necessary to obtain the assistance of the local administration, police or any other body, it may request such assistance from the local administration, police or the concerned body.

(3) It shall be the duty of the local administration, police and concerned body to provide the assistance requested under sub-section (2) to the Office.

95. Functions, duties and powers of Inspector:–

(1) The performance of functions and duties, and exercise of powers, to be carried out on behalf of the Office shall be as prescribed for the Inspector and subordinate staff.

(2) Notwithstanding sub-section (1), where this Act or other law states that certain work must be performed only by an Occupational Safety and Health Inspector, the power to carry out such work — or inspection of machinery and tools of a factory, occupational safety and health matters, and other technical work — on behalf of the Office shall lie with the Occupational Safety and Health Inspector;

Provided that where an Office has no Occupational Safety and Health Inspector, nothing in this sub-section shall bar the Office from engaging an Occupational Safety and Health Inspector working at another Office, or a technician knowledgeable in the relevant subject, in inspection work, or a Labour Inspector from working on behalf of the Office accordingly.

96. Duty of Inspector or employee:–

(1) The duty of an Inspector or employee deputed to inspect an enterprise or workplace under Section 95 shall be as follows:

(a) to enter the enterprise or workplace only after showing his/her identity card;

(b) to give a written receipt when taking possession of any register, document, record or article;

(c) to keep confidential the identity of a complainant who requests that his/her identity be kept confidential;

(d) to perform his/her official duty without obstructing the work of the enterprise or workplace; and

(e) to keep confidential the information, details or data obtained during inspection, except where required to be disclosed under law.

(2) If an Inspector or employee deputed to inspect an enterprise or workplace fails to perform the duty under sub-section (1), or does any indecent act or act contrary to official duty, or does any act in bad faith causing loss or damage, the concerned person may inform the appointing authority thereof through the Office.

(3) If, upon necessary investigation under sub-section (2), the Inspector or employee is found guilty, the appointing authority may impose departmental punishment under prevailing law.

97. Necessary cooperation to be given:–

It shall be the duty of the concerned employer, worker and trade union to give necessary cooperation to the Inspector or employee deputed to inspect the enterprise or workplace.

98. Report to be submitted:–

Unless otherwise directed, the Inspector or employee must, within fifteen days of completing inspection of an enterprise or workplace under this Chapter, submit a report with prescribed details to the Office.

99. Office may give directives:–

(1) On receiving the report under Section 98, the Office may, after necessary study, if it finds that improvement is needed in any work, work process or other matter of an enterprise, workplace, worker or trade union, immediately direct that such improvement be made, and if any act contrary to law is being carried out, immediately direct that such act or process be stopped.

(2) A party dissatisfied with a directive under sub-section (1) may appeal to the Labour Court within thirty-five days.

(3) The decision of the Labour Court on an appeal under sub-section (2) shall be final.

100. Labour audit to be conducted:–

(1) Every enterprise must conduct a labour audit, as prescribed, as to whether it has acted in accordance with this Act, the Rules and prevailing law, and prepare a report thereon.

(2) The report under sub-section (1) must be made available to the Office or Inspector when the Office or Inspector conducts inspection under this Chapter or requests it.

101. May submit application to a convenient office:–

In an area with more than one office, a worker of an enterprise having a branch or workplace there may submit an application to the office convenient to him/her, and upon such application being submitted, the concerned office must hear it.

Chapter-16
Provisions relating to Council and Committee

102. Formation of Central Labour Advisory Council:–

(1) To advise the Nepal Government on labour matters, a Central Labour Advisory Council shall be formed as follows:

(a) Minister or State Minister for Labour and Employment — Chairperson;

(b) Secretary, Ministry of Finance — Member;

(c) Secretary, Ministry of Labour and Employment — Member;

(d) Secretary, Ministry of Physical Infrastructure and Transport — Member;

(e) Secretary, Ministry of Agricultural Development — Member;

(f) Secretary, Ministry of Industry — Member;

(g) Secretary, Ministry of Health — Member;

(h) Director General, Department of Labour — Member;

(i) Executive Director, Social Security Fund — Member;

(j) Executive Director, Vocational Skill Development Training Centre — Member;

(k) Five persons nominated by the Ministry from among employers, including at least two women — Member;

(l) Five persons nominated by the Ministry from among trade union federations, including at least two women — Member;

(m) Joint Secretary (looking after the concerned division), Ministry of Labour and Employment — Member-Secretary.

(2) The term of office of members under clauses (k) and (l) of sub-section (1) shall be three years, and they may be renominated.

(3) In nominating representatives under clauses (k) and (l) of sub-section (1), the Ministry shall nominate on the recommendation of the employers' organization in the case of employers, and of the joint trade union coordination centre in the case of trade union federations.

(4) A member under clauses (k) and (l) of sub-section (1) may nominate an alternate member to attend Council meetings in his/her absence.

103. Functions, duties and powers of the Council:–

(1) The functions, duties and powers of the Council shall be as follows:

(a) to provide advice to the Nepal Government on labour policy;

(b) to provide necessary advice to the Nepal Government to update labour law from time to time;

(c) to advise the Nepal Government on ratification and implementation of international labour conventions to which Nepal is a party;

(d) to advise on reports to be submitted by the Nepal Government relating to international labour conventions to which Nepal is a party;

(e) to recommend occupational safety and health standards to the Nepal Government;

(f) to recommend a fair labour practice code to the Nepal Government;

(g) to advise the Nepal Government on determining policy relating to vocational training and apprenticeship training;

(h) to coordinate with the Nepal Government, employers and trade unions to maintain industrial peace and good industrial relations and to reduce labour disputes;

(j) to coordinate with the Nepal Government, employers and trade unions to enhance employment and productivity;

(k) to prepare and issue guidance on collective bargaining as needed;

(l) to perform other prescribed functions.

(2) The Council may form committees or task forces as needed to perform its work.

(3) The functions, duties and powers of a committee or task force formed under sub-section (2) shall be as assigned by the Council at the time of formation.

(4) The secretariat of the Council shall be at the Ministry.

104. Vacancy of Council membership:–

(1) The post of a member under clause (k) or (l) of Section 102(1) shall fall vacant in the following circumstances:

(a) if he/she submits a written resignation to the Ministry through the Chairperson;

(b) if he/she remains absent, without notice, from three consecutive meetings of the committee,

Provided that this provision shall not apply if the alternate member is present.

(c) upon expiry of his/her term; or

(d) upon his/her death.

(2) Before removing a Council member under clause (b) of sub-section (1), he/she must be given an opportunity to explain.

(3) If a member's post falls vacant under sub-section (1), a member must be nominated to that post from the same sector, following the same process, for the remaining term.

105. Provision relating to Council meetings:–

(1) A meeting of the Council shall be held on the date, place and time fixed by the Chairperson of the Council, as necessary;

Provided that the interval between two meetings shall not exceed four months.

(2) If one-fourth of the total number of Council members makes a written request to convene a meeting, the Chairperson must convene a Council meeting within fifteen days.

(3) At least twenty-four hours before a Council meeting is held, the Member-Secretary of the Council must give notice, along with the agenda to be discussed, to all members of the Council.

(4) A quorum for the Council meeting shall be deemed to have been reached if more than fifty percent of the total number of Council members are present, ensuring representation of the Nepal Government, employers and trade unions.

(5) The Chairperson of the Council shall chair meetings of the Council, and in his/her absence the Secretary of the Ministry shall chair the meeting.

(6) A labour expert may be invited to a Council meeting.

(7) Decisions of the Council shall be made by consensus.

(8) If consensus cannot be reached under sub-section (7), the decision shall be made by majority of the members of the Council including representatives of the Nepal Government, employers and unions.

(9) A record of decisions of the Council meeting shall be kept in a separate minute book, and the decision of the meeting shall be authenticated by the Member-Secretary of the Council.

(10) Other procedures relating to Council meetings shall be as determined by the Council itself.

(11) Members of the Council shall receive a meeting allowance as fixed by the Nepal Government.

105A. [6]Provincial Government may form Provincial Labour Advisory Council:–

(1) To facilitate implementation of this Act and to manage improvements needed in the labour sector at the provincial level, the Provincial Government may form a Provincial Labour Advisory Council.

(2) The formation, operation and other arrangements of the Provincial Labour Advisory Council shall be as determined by the Provincial Government.

106. Fixing of minimum remuneration:–

(1) The Ministry shall, every two years, fix the minimum remuneration of workers on the recommendation of the Minimum Remuneration Fixation Committee under Section 107.

(2) Notwithstanding sub-section (1), if the Minimum Remuneration Fixation Committee under Section 107 cannot recommend minimum remuneration because consensus could not be reached, the Ministry shall fix the minimum remuneration.

(3) The Ministry shall publish the minimum remuneration fixed under this Section in the Nepal Gazette.

(4) [7]The minimum remuneration fixed under this Section shall come into effect from the first day of the new fiscal year;

Provided that if the trade union and employer have agreed otherwise on the date of applicability of the minimum remuneration, that agreement shall apply.

(5) In fixing minimum remuneration under any other prevailing law, it shall not be fixed lower than the remuneration fixed under this Act.

107. Minimum Remuneration Fixation Committee:–

(1) The Ministry shall form a standing Minimum Remuneration Fixation Committee, as prescribed, ensuring representation of the Nepal Government, trade unions and employers' organizations, to recommend minimum remuneration for workers.

(2) The Committee formed under sub-section (1) may recommend minimum remuneration for workers nationwide, or for a particular sector or nature of enterprise or industry or employment sector.

(3) The basis for recommending minimum remuneration shall be determined by the Minimum Remuneration Fixation Committee itself.

(4) The Minimum Remuneration Fixation Committee under sub-section (1) must, every two years, commence the process of reviewing minimum remuneration from the month of Baisakh.

[6]Inserted by the Act Amending Some Nepal Acts, 2075.
[7]Amended by the Act Amending Some Nepal Acts, 2075.

(5) Procedures relating to meetings of the Committee under sub-section (1) and other arrangements shall be as prescribed.

Chapter-17
Provisions relating to Internal Management of Enterprises

108. May carry out internal management:–

(1) Every enterprise may, as necessary, make bye-laws for its internal management.

(2) In making bye-laws relating to service, terms and facilities for workers, the enterprise, or, in approving the bye-laws made by an enterprise, the body having authority to approve such bye-laws, must do so in a manner that is not contrary to the minimum standards mentioned in this Act and to the collective agreement.

(3) For the purpose of sub-section (1), the Ministry may prepare model bye-laws as necessary;

Provided that this shall not bar Nepal Rastra Bank, for banks and financial institutions, and the regulatory body concerned, for other enterprises, from making bye-laws.

(4) An enterprise must register one copy of its bye-laws with the Office, and must make the bye-laws available to a worker who wishes to see them.

(5) In making or amending its bye-laws, an enterprise must consult the authorized trade union, if any, in the enterprise, or, if there is none, the active trade union.

(6) If any provision of an enterprise's bye-laws is inconsistent with this Act, prevailing law or a collective agreement, a court may void such provision of the bye-laws or make any other appropriate order.

109. May transfer:–

(1) An enterprise may transfer a worker from one office, branch or unit of the enterprise to another office, branch or unit, without adversely affecting the worker's service terms and facilities and without changing the nature and level of his/her work;

Provided that a transfer changing the nature and level of work may be made in the following circumstances:

(a) with the consent of the concerned worker;

(b) where the worker is posted following promotion;

(c) as mentioned in a collective agreement; or

(d) transfer to other work related to training, skill or educational qualification obtained by a worker.

(2) A worker working in one enterprise may, with his/her consent, be transferred to another enterprise.

(3) In making a transfer under sub-section (2), the transferring enterprise and the enterprise to which the worker is transferred must enter into an agreement, as prescribed, to the effect that the service period of the worker so transferred shall be added and that the enterprise to which he/she is transferred shall bear all facilities receivable on the basis of the service period and other terms of service.

(4) Where a worker is transferred to a place outside his/her permanent residence or previous workplace, the employer must provide the prescribed facility.

110. May depute as a representative:–

(1) An enterprise may send its worker to another enterprise to work in the capacity of its representative.

(2) In case of deputation under sub-section (1), unless otherwise agreed, liability regarding such worker's service and facilities shall remain with the enterprise so deputing him/her.

111. Formation of labour relations committee:–

(1) In an enterprise with ten or more workers, the employer must form a labour relations committee, as prescribed.

(2) The functions, duties and powers of the labour relations committee formed under sub-section (1) shall be as follows:

(a) to hold necessary discussion on increasing productivity and improving work systems;

(b) where a worker has a grievance, or such a situation is likely to arise, to discuss with the concerned party and attempt to resolve it;

(c) to improve the work environment at the workplace;

(d) to act in the capacity of an occupational health and safety committee until such a committee is formed;

(e) to perform other prescribed functions.

(3) The labour relations committee under sub-section (1) shall meet as necessary, without adversely affecting the enterprise's working hours.

(4) Provisions relating to formation, procedure, and meetings of the committee shall be as prescribed.

112. Enterprise may evaluate a worker's performance:–

(1) An enterprise may generally have a worker's performance evaluated once a year.

(2) The basis and procedure of the performance evaluation under sub-section (1) must be fixed in a just and reasonable manner.

(3) The basis and procedure under sub-section (2) must be communicated to the worker before the evaluation period begins.

(4) After carrying out the performance evaluation under sub-section (1), the employer or a person designated by him/her must discuss with the concerned worker his/her strengths and weaknesses and provide reasonable opportunity to improve any weaknesses.

(5) If the concerned worker disagrees with the evaluation under sub-section (4), he/she must be given the opportunity to record such disagreement, and be made to sign the performance evaluation form.

(6) Where a worker records disagreement under sub-section (5), the enterprise must make arrangements for review of the matter.

(7) Other matters relating to worker performance evaluation shall be as prescribed.

Chapter-18
Settlement of Individual Disputes

113. May submit individual claim:–

(1) If a worker has any individual claim regarding a right receivable under [8]this Act, the Rules framed under it, prevailing law or a collective agreement, such worker may submit a written application to the employer.

(2) On receiving an application under sub-section (1), the employer must accept the application and give the worker a receipt for it.

(3) On receiving an application under sub-section (1), the employer must, within fifteen days, discuss with the concerned worker and resolve the dispute relating to such claim.

(4) Notwithstanding sub-section (3), the period for resolving the dispute may be extended on the basis of agreement between the employer and worker.

114. Application to Office:–

(1) In the following circumstances, the concerned party may submit an application to the Office to resolve an individual claim under Section 113 through reconciliation:

(a) where the employer fails to give notice for discussion within seven days of receipt of the application under Section 113(1); or

(b) where consensus is not reached in discussion under Section 113(3), fifteen days after the initial application was submitted to the employer.

(2) On receiving an application under sub-section (1), the Office must give notice, fixing a date and time for discussion, to the concerned employer and worker.

(3) The Office must, within twenty-one days of receiving an application under sub-section (1), conduct necessary talks between employer and worker and resolve the dispute relating to the claim.

[8]Amended by the Act Amending Some Nepal Acts, 2082.

(4) Notwithstanding sub-section (3), the period for resolving the dispute may be extended on the basis of agreement among the Office, employer and worker.

(5) If, in conducting talks under sub-section (3), consensus is reached between the concerned employer and worker, the dispute relating to that claim shall be deemed to have been resolved.

(6) The consensus reached under sub-section (5) shall be binding on the concerned parties.

115. Office to decide:–

If the problem is not resolved under Section 114, the Office must, on the basis of evidence available, decide within fifteen days.

Chapter-19
Settlement of Collective Disputes

116. May submit collective claim:–

(1) In an enterprise with ten or more workers, there shall be a collective bargaining committee as follows:

(a) a group of negotiating representatives designated on behalf of the enterprise's elected authorized trade union;

(b) where the authorized trade union under clause (a) has not been elected, or its term has expired following an election, a group of negotiating representatives nominated by mutual consent of all unions in the enterprise;

(c) where there is no authorized trade union under clause (a) or group under clause (b), a group of representatives supported by signatures of more than sixty percent of the workers employed in the enterprise.

(2) The collective bargaining committee may submit a written collective claim to the employer regarding matters relating to workers' interests.

(3) Notwithstanding sub-section (2), a collective claim may not be submitted regarding the following matters:

(a) matters contrary to the Constitution of Nepal;

(b) matters adverse to anyone's interest based on unproven or baseless allegations;

(c) matters concerning the personal conduct of any employer or worker;

(d) matters unrelated to one's own enterprise;

(e) where a collective agreement exists, until the period mentioned in this Act has elapsed;

(f) matters relating to the rate of contribution and facilities prescribed for a social security scheme.

(4) The collective bargaining committee may consist of not fewer than three and up to eleven members, as prescribed, based on the number of workers.

(5) The collective bargaining committee formed under this Section shall have the power to submit a collective claim, conclude agreements, and file or defend suits against any person.

117. Negotiation on collective claim:–

(1) When a collective claim is submitted under Section 116, the concerned employer must, within seven days of submission of the claim, give the collective bargaining committee written notice specifying the place and time for negotiation.

(2) Where notice has been given under sub-section (1), members of the collective bargaining committee must be present for negotiation at the place and time mentioned in the notice.

(3) If, in conducting negotiation under sub-section (2), consensus or agreement is reached between the two parties, the dispute relating to the collective claim shall be deemed resolved.

(4) Consensus reached under sub-section (3) shall be binding on the concerned parties.

118. Reconciliation:–

(1) The concerned party may submit an application to the Office for resolution of a collective claim dispute through reconciliation in the following circumstances:

(a) where the employer fails to give notice for negotiation to the collective bargaining committee within the period under Section 117(1); or

(b) where, in negotiation under Section 117(3), consensus is not reached within twenty-one days of submission of the claim;

Provided that if negotiation is continuing, extension of this period by consent of the parties shall not be barred.

(2) On receiving an application under sub-section (1), the Office must summon the concerned parties, effect reconciliation, and resolve the dispute.

(3) Reconciliation proceedings under sub-section (2) must be concluded within thirty days of receipt of the application by the Office;

Provided that if negotiation is continuing, extension of this period by consent of the parties shall not be barred.

(4) If, in negotiation conducted in the presence of the Office under sub-section (3), consensus is reached between the two parties, the collective claim dispute shall be deemed resolved.

(5) Consensus reached under sub-section (4) shall be binding on the concerned parties.

119. Dispute to be resolved through arbitration:–

(1) If reconciliation under Section 118 is not achieved, a collective claim dispute must be resolved through arbitration in the following circumstances:

(a) where the collective bargaining committee and employer have agreed to resolve the collective claim dispute through arbitration;

(b) where a collective dispute arises in an enterprise operating essential services;

(c) where a collective dispute arises in an enterprise within a special economic zone; or

(d) where a strike is banned due to a state of emergency declared under the Constitution.

Explanation: For the purpose of this Section, "essential service" means a service the disruption of which is likely to adversely affect the life, health and safety of persons residing anywhere in, or in any part of, the country.

(2) Where a strike or lock-out has occurred, or a situation likely to lead to one exists, and the Ministry is satisfied that this may cause economic crisis in the country, or that the dispute must be resolved through arbitration, the Ministry may order that any collective dispute, whatever stage it has reached, be resolved through arbitration.

(3) For the purposes of sub-sections (1) and (2), the Ministry must constitute arbitrators ensuring representation of workers, employers and the Nepal Government.

(4) The expenses of the arbitrator constituted under sub-section (3) shall be borne by the Nepal Government as prescribed.

(5) A party wishing to have a dispute resolved through arbitration must submit its claim in writing to the arbitrator, as prescribed.

(6) On receiving a claim under sub-section (5), the arbitrator must send a copy of such claim to the other party and give it an opportunity to submit a counter-claim thereon.

(7) In conducting proceedings under this Section, the arbitrator may consult or discuss with any expert.

(8) A hearing shall be held on the date, time and place fixed by the arbitrator, and the arbitration proceedings shall not be stopped merely because a party is absent or fails to submit a counter-claim.

(9) The arbitrator must give a decision within thirty days from the date the hearing under sub-section (8) is concluded.

(10) The arbitrator shall have the same powers as a court under prevailing law with regard to receiving evidence, examining witnesses, conducting site inspection, and similar work in connection with its proceedings.

(11) Except as otherwise arranged by consent of the parties, other matters relating to arbitration proceedings shall be as determined by the arbitrator.

120. May form Labour Arbitration Tribunal:–

(1) The Nepal Government may form an independent Labour Arbitration Tribunal for reconciliation and arbitration relating to collective disputes.

(2) Where a Labour Arbitration Tribunal is formed under sub-section (1), reconciliation and arbitration proceedings under this Chapter shall be carried out by such Labour Arbitration Tribunal.

(3) Other matters relating to the Labour Arbitration Tribunal shall be as prescribed.

121. Strike permissible for resolution of collective dispute:–

(1) The collective bargaining committee may go on strike to resolve a collective dispute if any of the following circumstances exist:

(a) a situation requiring compulsory arbitration under Section 119(1) does not exist;

(b) the arbitrator fails to carry out the work of arbitration;

(c) an arbitrator has not been constituted within twenty-one days of application to the Ministry, or no decision has been made that arbitration is required;

(d) no decision has been made by the arbitrator within the prescribed period;

(e) the employer refuses to implement the arbitrator's decision or legally challenges that decision; and

(f) except where compulsory arbitration is required, any party disagrees with the arbitrator's decision under Section 122(2).

(2) To go on strike under sub-section (1), written notice of the demand, along with the date the strike will begin, must be given to the employer at least thirty days in advance, and information thereof must also be given to the local administration and concerned Office.

(3) Notwithstanding anything stated elsewhere in this Act, if, after notice of strike is given under sub-section (2) or after the strike has begun, the Ministry orders that the dispute be resolved through arbitration under Section 119(2), such strike must be suspended and the parties must join the arbitration process.

(4) Notwithstanding anything stated elsewhere in this Section, a worker deputed for patrol, watch, or security duty of the enterprise shall not be entitled to take part in a strike during the time he/she is deputed for such duty, nor to perform acts under Section 125.

122. Arbitrator's decision and collective agreement to be binding:–

(1) In respect of a collective dispute for which compulsory arbitration is required under Section 119(1), the arbitrator's decision shall be binding on the concerned party.

(2) In respect of a dispute referred to arbitration under an order of the Ministry under Section 119(2), if a party is dissatisfied with the arbitrator's decision and does not, within five working days of the decision, submit written disagreement to the arbitrator, such

decision shall automatically become binding on the concerned party after expiry of that period.

(3) A collective agreement and a arbitrator's decision must be registered with the Office for implementation and record.

(4) A collective agreement shall take effect from the date fixed in the agreement itself, and if no such date is fixed, from the date of signature; and a arbitrator's decision shall take effect from the date of the decision, and shall remain valid for two years and shall have the same effect as law.

(5) Notwithstanding sub-section (4), the provisions of a collective agreement or a arbitrator's decision shall continue to apply as they stand until amended or repealed by another collective agreement or arbitrator's decision.

123. Special provision relating to submission of collective claim:–

(1) An active trade union federation of an industry group of tea estates, carpet sector, construction business, labour suppliers, transport sector, or similar producers of goods, or service providers, or entrepreneurs, of a similar nature as prescribed, may form a collective bargaining committee, as prescribed, before the employers' association of the concerned industry group and submit a collective claim.

(2) The manner of submitting a claim under sub-section (1), the procedure relating to collective bargaining, and the provisions relating to agreement, shall be as prescribed.

(3) In respect of an enterprise to which a collective agreement under this Section applies, submission of a collective claim and conclusion of an agreement under this Chapter shall not be permitted.

(4) Notwithstanding Section 122(4), the Ministry may issue an order requiring submission of a collective claim and negotiation at a particular time. Where such an order is issued, it may, for that one instance, be earlier or later than the period mentioned in that same sub-section of that same Section.

124. May impose lock-out:–

(1) A lock-out may be imposed at an enterprise where a strike is called or continued without giving notice under this Act, or where a collective dispute is not resolved through the process under this Act, and the management side, with justification, obtains the approval of the Department.

(2) Before imposing a lock-out under sub-section (1), if the strike is not ended, the manager must issue a notice, mentioning the date of the lock-out, at least seven days in advance, to inform the workers that a lock-out will be imposed.

(3) Notwithstanding sub-sections (1) and (2), if, during a strike, workers create a situation of picketing, riot, or destruction, such that the enterprise is likely to suffer damage, the manager may impose a lock-out. Where a lock-out is so imposed, information along with

the justification for the lock-out must be given to the Office or Department and local administration within three days.

(4) On receiving information under sub-section (3), the local administration must immediately make necessary security arrangements at such workplace.

(5) If a lock-out imposed at any enterprise appears unjustified, or is likely to disturb peace and security in the country, or is likely to be adverse to the country's economic interest, the Department may declare such lock-out illegal at any time.

(6) Notwithstanding anything stated elsewhere in this Section, a lock-out shall not be permitted at an enterprise operating essential services.

125. May picket or hold assembly:–

(1) During a strike or lock-out, workers may peacefully picket or hold an assembly at the main gate of the workplace or enterprise with intent to pressure for fulfilment of demands.

(2) Except during a strike or lock-out, workers may picket or hold assembly only before or after working hours or during rest time, without obstructing the work of the workplace or enterprise.

(3) Even while picketing or holding an assembly under sub-section (1), workers shall not be entitled to prevent anyone from entering or exiting the workplace or enterprise, or to do acts such as causing damage to the workplace.

126. No violation of employment contract:–

No worker shall be deemed to have violated the employment contract by reason of a strike or lock-out, or of having picketed or filed a complaint under law, and the employment relationship shall be deemed to have continued during such period.

127. Remuneration during period of strike or lock-out:–

(1) A worker who goes on strike contrary to prevailing law shall not receive any remuneration for the strike period.

(2) If an employer imposes a lock-out contrary to law, workers shall receive full remuneration for that period.

(3) Where a collective agreement provides otherwise regarding remuneration, that shall apply; otherwise, workers shall receive half remuneration for the period of a strike or lock-out carried out in accordance with the process of this Act.

(4) If a question arises as to whether a strike or lock-out at an enterprise is lawful or not, the Department shall conduct necessary investigation and decide within thirty-five days.

128. Suit may not be filed regarding loss:–

(1) If an employer or worker suffers any financial loss due to a strike, picketing or lock-out carried out in accordance with the process of this Act, no suit may be filed in any court

against the worker, collective bargaining committee, trade union, or employer carrying out such strike, picketing or lock-out in respect of such loss.

(2) Notwithstanding sub-section (1), if any property is destroyed or physical damage caused by vandalism, arson, or in any other manner at the workplace, an amount equal to the loss or damage may be recovered under prevailing law from the person or group committing such act.

129. Collective bargaining or agreement to be made in good faith:–

(1) A trade union, collective bargaining committee or employer must act in good faith in collective bargaining or making a collective agreement.

(2) Other matters relating to collective bargaining or agreement shall be as prescribed.

Chapter-20
Provisions relating to Conduct and Punishment

130. Discipline and performance of duty:–

It shall be the duty of every worker to observe discipline and perform duty in accordance with this Act, the Rules framed under it, or the bye-laws.

131. Misconduct and punishment:–

(1) A worker may be given a warning for the following misconduct:

(a) being absent from work without approved leave;

(b) leaving the workplace without the manager's approval;

(c) repeatedly arriving late for work without approval;

(d) failing to comply with an order given regarding work by the employer or a worker of higher rank;

(e) other misconduct specified in the bye-laws.

(2) Remuneration equal to a maximum of one day may be deducted for the following misconduct:

(a) refusing to accept a notice or letter given by the employer or the punishing authority;

(b) participating in, or being compelled to participate in, an illegal strike, or collectively slowing down work;

(c) causing loss or damage to the enterprise by decreasing production or service through negligence or carelessness;

(d) attempting to obtain a facility by submitting a false statement;

(e) a worker required to use safety equipment failing to use the equipment provided by the employer;

(f) other similar misconduct specified in the bye-laws.

(3) Annual increment or promotion may be withheld for one year for the following misconduct:

(a) taking the enterprise's property outside without the approval of the authorized person, or using it, or allowing an unauthorized person to use it;

(b) attempting to embezzle in the employer's transactions;

(c) causing damage to the employer's property through negligence or carelessness;

(d) shutting off food, water, telephone or electricity service within the workplace, or preventing movement within the workplace;

(e) knowingly misusing, or causing loss or damage to, any article kept, or arrangement made, for the interest, safety or health of workers;

(f) other similar misconduct specified in the bye-laws.

(4) A worker may be removed from service for the following misconduct:

(a) using a weapon, or otherwise, to beat or physically injure the employer, any worker, service recipient or any person connected with the workplace, or taking a person hostage, or causing a riot or destruction within the enterprise premises;

(b) giving or taking a bribe;

(c) stealing anyone's property at the workplace;

(d) financial embezzlement of the enterprise;

(e) knowingly causing loss or damage to property of the employer or in the employer's possession or use;

(f) being absent from work continuously for more than thirty days without approved leave;

(g) doing any act with intent to cause loss to the enterprise or workplace he/she is engaged in, breaching confidentiality relating to the enterprise's production formula or special technology;

(h) working in collusion with a competing employer whose work is similar to the nature of work of the enterprise, or independently carrying on competing business, or giving confidential information of the enterprise he/she is engaged in to a competing employer;

(i) being convicted by a court in a criminal charge showing moral turpitude while in service;

(j) submitting forged educational or other certificates necessary for appointment;

(k) consuming a controlled substance or intoxicating substance during working hours, or coming to work having consumed such substance;

(l) being punished more than twice within three years under sub-section (1), (2) or (3) for misconduct;

(m) where prevailing Nepal law itself provides for removal from service for particular misconduct, doing such misconduct.

132. Prohibition on sexual misconduct:–

(1) No one shall do, or cause to be done, any act deemed to be sexual misconduct under law by exerting undue influence at the workplace or in connection with work.

(2) The employer may punish a worker who commits sexual misconduct up to and including removal from service, having regard to the circumstances and gravity of the misconduct.

(3) If the employer or chief executive of an enterprise commits sexual misconduct, the union, the victim, or any member of his/her family may file a complaint under law.

133. Provision relating to misconduct may be made in bye-laws:–

(1) Where the regulatory body regulating a bank or financial institution, school, telecommunications service provider, hospital, airline, insurance company, or enterprise of a particular nature has fixed a particular punishment for a particular kind of misconduct, provision may be made accordingly in the bye-laws.

(2) Provision may be made in an enterprise's bye-laws for removal from service for serious misconduct, through a collective agreement or with the permission of the Department.

134. May suspend:–

(1) If a worker is held in detention under law, such worker shall automatically be suspended for that period and shall not receive remuneration for that period;

Provided that if the employer itself lodges the complaint and the worker held in detention is proven innocent, he/she shall receive full remuneration for that period.

(2) Except in the circumstance under sub-section (1), if it does not appear appropriate to keep at work a worker for whom punishment under Section 131(4) is proposed, or if there is a possibility that keeping him/her at work would allow destruction of evidence relating to the charge against him/her, or hinder investigation, the employer may suspend such worker.

(3) A worker may generally not be suspended under sub-section (2) for more than three months;

Provided that if the investigation is not complete, the suspension period may be extended by up to one month.

(4) A worker suspended under sub-section (2) shall receive half remuneration during the suspension period.

(5) If a worker suspended under sub-section (2) is cleared of the charge against him/her, he/she shall receive the full remaining remuneration for that period, after deducting the remuneration already received during that period, and, if entitled to increment, the increment as well.

(6) Except where the employer itself has lodged a complaint and the worker is held in detention, if the suspension period under sub-section (1) exceeds ninety days, the employer may terminate such worker's service. In terminating service in this manner, an opportunity for hearing need not be given.

135. Opportunity to submit explanation to be given:–

Before punishing a worker for misconduct, the punishing authority must clearly state the fact of the misconduct and the punishment that may result if it is proven, and must give a period of seven days for the worker to submit his/her explanation.

136. Punishing authority:–

(1) The authority to punish for misconduct shall, in the case of an enterprise, vest in the chief executive.

(2) Notwithstanding sub-section (1), where the bye-laws confer authority, including the power to make final decisions on punishment for misconduct, on a worker of managerial level, such authority shall have the power to investigate and punish.

137. Period for deciding:–

(1) If a worker is found to have committed misconduct, proceedings must be initiated within two months of the misconduct coming to notice.

(2) A decision must be made within three months of initiating proceedings under sub-section (1).

138. May reduce punishment:–

(1) Nothing in this Chapter shall bar imposing a lesser punishment than proposed for a worker.

(2) If an enterprise's bye-laws provide for a lesser punishment than under this Chapter, the provision of such bye-laws shall apply to the workers of that enterprise.

Chapter-21
Provisions relating to Termination of Employment

139. Security of employment:–

(1) No worker's employment shall be terminated except as provided in this Act, the Rules framed under it, or the bye-laws.

(2) A reasonable and adequate reason must be given for terminating employment.

140. Termination of employment of a worker in time-bound or task-based employment:–

The employment of a worker in time-bound or task-based employment shall terminate in the following circumstances:

(a) in the case of a time-bound worker, upon expiry of the period mentioned in the employment contract;

Provided that if the employment is project-based, if that period is extended, or if, based on the nature of the work, the period for completing such work is extended, employment shall not terminate for that further period;

(b) in the case of a task-based worker, upon completion of the work mentioned in the employment contract;

Provided that if the employment is project-based, if such task is extended, or if, based on the nature of the work, the task is extended, employment shall not terminate for as long as such work continues;

(c) in the case of a casual worker, at the discretion of the employer or worker.

141. May terminate employment voluntarily:–

(1) A worker may terminate employment by submitting a written resignation to the employer.

(2) The employer must approve a resignation submitted by a worker under sub-section (1) within fifteen days and must inform the concerned worker thereof.

(3) If the employer fails to approve the resignation within the period under sub-section (2), such resignation shall automatically be deemed approved from the day following expiry of that period.

(4) Notwithstanding anything stated elsewhere in this Section, a resignation submitted by a worker may be cancelled by mutual consent of the employer and worker.

(5) If, even after a resignation is approved and takes effect, the worker continues to work at the same enterprise, his/her resignation shall be deemed cancelled.

142. May terminate employment for lack of competence:–

(1) If, in performance evaluation of a worker as provided in this Act, the Rules framed under it, or the bye-laws, the worker's performance is found unsatisfactory or substandard for three or more consecutive times, the employer may terminate such worker's employment.

(2) Before terminating employment under sub-section (1), performance evaluation must have been carried out as mentioned in this Act, the Rules framed under it, or the bye-laws.

(3) An employer with ten or more workers must, before terminating employment under this Section, give the worker at least seven days to submit an explanation.

143. May terminate employment on grounds of health:–

(1) If a worker becomes physically or mentally disabled, maimed, or injured, and is unable to work, or requires prolonged medical treatment such that it affects work, the employer may, on the recommendation of a physician, terminate such worker's employment.

(2) Notwithstanding sub-section (1), the employer shall not terminate the employment of a worker who, in the course of performing work assigned by the employer, meets with an accident or contracts an occupational disease and undergoes treatment as an in-patient, for the entire treatment period, and, if undergoing treatment at home, for up to one year from commencement of treatment; and the employer must pay full remuneration for such period.

Provided that if the worker is entitled to remuneration facility for the treatment period from the Social Security Fund, the employer need not pay remuneration under this sub-section.

(3) Except in the circumstance mentioned in sub-section (2), the employment of a worker who is unable to attend work at the enterprise due to undergoing treatment on grounds of health may not be terminated for up to six months;

Provided that if a physician expressly recommends that he/she cannot return to work, nothing in this sub-section shall bar removal from service before that period.

(4) Notwithstanding sub-section (1), where a physically disabled, maimed or injured worker can be engaged in some work suited to his/her health condition, the employer must engage such worker in such work.

144. Notice to be given:–

(1) Except where employment is terminated following disciplinary action for misconduct, the employer or worker must, before terminating the employment relationship, give notice to the other as follows:

(a) for employment of up to four weeks, at least one day in advance;

(b) for employment from four weeks up to one year, at least seven days in advance; and

(c) for employment of more than one year, at least thirty days in advance.

(2) If the employer terminates employment without giving notice under sub-section (1), the employer must pay the concerned worker remuneration for the period for which notice should have been given.

(3) If a worker terminates employment without giving the employer notice under sub-section (1), the employer may deduct an amount equal to remuneration for the period for which notice should have been given, from the remuneration receivable by the concerned worker.

145. May reduce number of workers:–

(1) If an enterprise faces financial difficulty in its operation, or the number of workers becomes excessive due to merger of enterprises, or for any other reason the enterprise must be partly or fully closed, the employer may reduce the number of workers.

(2) In reducing the number of workers under sub-section (1), the employer must, at least thirty days before the date of such reduction, give notice to the Office, and, where there is an authorized trade union at enterprise level, to such union, and, if not, to the active trade union or labour relations committee at the enterprise, stating the reason for the reduction, the probable date of reduction, and the probable number of workers to be affected.

(3) After giving notice under sub-section (2), the employer must discuss with the concerned union or labour relations committee on alternatives to reduction of workers and the basis and conditions for selecting workers to be reduced, and reduction of workers may be carried out as agreed in such discussion.

(4) If the trade union or labour relations committee does not wish to discuss under sub-section (3), or if consensus is not reached in discussion, the employer may inform the Office thereof and reduce the number of workers.

(5) In reducing the number of workers under this Section, the following order must generally be followed:

(a) foreign workers;

(b) workers who have received comparatively more punishment for misconduct;

(c) workers whose performance level is weak;

(d) among workers engaged in the same kind of work, the worker appointed most recently to such work;

Provided that if it is necessary to reduce a worker appointed earlier rather than following the order requiring reduction of the most recently appointed worker, this may be done by stating the reason.

(6) Notwithstanding sub-section (5), except as otherwise agreed with the trade union, office-bearers of the collective bargaining committee or authorized trade union must be reduced last in the priority order.

(7) In reducing the number of workers, the employer must pay, as compensation, to a worker who has completed at least one year of service, a lump sum calculated at the rate of one month's basic remuneration for each year of service rendered by the worker;

Provided that if the service period is less than one year, compensation shall be received pro rata.

(8) Notwithstanding sub-section (7), a worker entitled to unemployment allowance under the law relating to social security shall not receive compensation under sub-section (7).

(9) Sub-sections (1), (2), (3) and (4) shall not apply where an enterprise must close all or part of its operations under an order of the Nepal Government or Labour Court, or where an enterprise in a special economic zone must reduce the number of workers.

(10) Notwithstanding anything stated elsewhere in this Section, the provisions of this Section shall not apply where an employer with ten or fewer workers reduces the number of workers.

146. May resume operation:–

(1) Where the number of workers has been reduced for any reason, if the enterprise resumes operation within two years, or additional workers need to be supplied, priority in employment must be given to workers who were reduced under Section 145.

(2) Notwithstanding sub-section (1), if a reduced worker fails to appear even after being given notice as prescribed, another person may be engaged in employment.

(3) If the employer fails to give notice or fails to provide employment, the concerned worker may apply to the Labour Court within thirty-five days.

(4) Other matters relating hereto shall be as prescribed.

147. Compulsory retirement:–

A worker in regular employment shall receive compulsory retirement from employment upon completing [9]sixty years of age.

Provided that where compulsory retirement at an age below [10]sixty years is necessary for work of a particular special nature, provision may be made in the bye-laws by obtaining permission as prescribed from the Council.

148. Facilities to be paid:–

(1) Where employment is terminated due to misconduct or for any other reason whatsoever, the employer must, within fifteen days of termination of employment, pay the worker the entire amount of remuneration and facilities receivable by the worker.

(2) The employer must provide necessary cooperation for the worker to obtain the amount or facility receivable from the Social Security Fund, insurance or other body.

(3) If the remuneration and facility receivable by the worker are not paid within the period under sub-section (1), or cooperation is not provided under sub-section (2), remuneration must be paid as if the worker remained in service until the amount is paid.

(4) If the worker does not come to receive the remuneration or facility, the employer may pay it directly into the worker's account or deposit it with the Office.

[9]Amended by the Act Amending Some Nepal Acts relating to Promotion of Good Governance and Delivery of Public Services, 2081.
[10]Amended by the Act Amending Some Nepal Acts relating to Promotion of Good Governance and Delivery of Public Services, 2081.

(5) Other matters relating to depositing and paying the amount under sub-section (4) shall be as prescribed.

149. Workers to receive first priority:–

Notwithstanding anything stated in other prevailing law, when closing or liquidating an enterprise, outstanding remuneration or other facilities payable to workers must be given with first priority;

Provided that where the Insolvency Act applies, that shall apply accordingly.

150. Work experience certificate to be given:–

If a worker whose employment has terminated requests a work experience certificate, the employer must give a certificate of work experience mentioning the worker's period of employment and post.

Chapter-22
Provisions relating to Labour Court

151. Formation of Labour Court:–

(1) The Nepal Government shall, by publishing a notice in the Nepal Gazette, form the required number of Labour Courts.

(2) The territorial jurisdiction and seat of a Labour Court formed under sub-section (1) shall be as fixed in the same notice.

(3) The Labour Court shall consist of a Chairperson and two members.

(4) A sitting judge of the High Court, or a person qualified to be a judge of the High Court, shall be eligible to be the Chairperson or member of the Labour Court.

(5) Except where a sitting judge of the High Court is appointed, the term of the Chairperson and members of the Labour Court shall be four years.

(6) The service terms and facilities of the Chairperson and members of the Labour Court shall be equivalent to those of a High Court judge.

(7) [11]Before assuming office, the Chairperson of the Labour Court appointed under this Act must take an oath of office and secrecy before the Chief Justice of the Supreme Court, and a member before the Chairperson.

152. Majority decision to be valid:–

(1) The jurisdiction of the Labour Court shall be exercised collectively by the Chairperson and members;

Provided that where the Chairperson or any one member is absent, a bench of two may also conduct proceedings and dispose of a case.

[11]Inserted by the Act Amending Some Nepal Acts, 2082.

(2) The decision of the majority of members shall be deemed to be the decision of the Labour Court.

(3) Where members differ in opinion in a bench of two, such opinions must be submitted to a third member, and the opinion supported by the third member shall be deemed the decision of the Labour Court. Where the Chairperson and a member differ in opinion, the opinion of the Chairperson shall be deemed the decision of the Labour Court.

153. Powers of Labour Court:–

In addition to the powers mentioned in this Act and the Rules framed under it, the Labour Court may, in the course of a case, exercise the following powers:

(a) to receive evidence of witnesses;

(b) to record, as necessary, a statement equivalent to a defendant's reply;

(c) to order any party not made a party to the case to appear, based on the application of such party or the nature of the case, during the hearing before the Labour Court, and to make such party a party where necessary;

(d) to inspect the site or workplace related to the dispute;

(e) where an application by a party in a case pending before the Labour Court is found reasonable, to issue an interim order in the name of a party, at whatever stage the case has reached, that any work be stopped, or that ongoing work continue, for a specified period, with or without fixing the duration;

(f) to affirm, void, or vary a directive, decision or order of the Office or employer;

(g) in conducting and disposing of a case, the Labour Court shall have, on matters mentioned in this Act and the Rules framed under it, the powers set out therein, and on other matters, the same powers as a District Court.

154. May take action for contempt:–

(1) The Labour Court may take action for its own contempt.

(2) In taking action under sub-section (1), if the offender is found to have committed contempt, the Labour Court may fine the offender up to ten thousand rupees, or imprison up to six months, or both;

Provided that if the offender apologizes to the satisfaction of the Labour Court, the Labour Court may pardon him/her, or, if punishment has already been fixed, may remit or reduce the punishment, or may suspend the punishment on conditions fixed by the Labour Court and order that the punishment not be executed if such conditions are complied with.

155. May demand bank guarantee or deposit:–

If, when a case filed under this Act is decided, there is a likelihood that one party will receive an amount from the other, and it appears likely that such party will not pay the

amount, the Labour Court may, for implementation of that decision, require such party to deposit an amount equal to that sum or demand a bank guarantee covering that amount.

156. May order payment of interest:–

(1) If, when a case is decided, one party is found liable to pay compensation or any other cash amount to the other party, such compensation or cash must be paid within two months of receiving notice of the judgment or decision.

(2) If such compensation or cash is not paid within the period under sub-section (1), interest at the rate of fifteen percent must be paid or recovered on such compensation or cash from the date of judgment.

157. May reach settlement:–

(1) Whatever stage a case filed with the Labour Court under this Act has reached, the Labour Court may, on the basis of an application submitted by the concerned party, permit such case to be settled, filed away, or withdrawn.

(2) No fine, penalty or fee shall be charged when a case is settled, filed away, or withdrawn under sub-section (1).

158. High Court to perform functions of Labour Court:–

(1) Notwithstanding anything stated elsewhere in this Chapter, the Nepal Government may, by publishing a notice in the Nepal Gazette, designate any High Court, fixing its territorial jurisdiction, to perform the functions of the Labour Court.

(2) The High Court designated under sub-section (1) shall, in conducting and disposing of cases, exercise all the powers that the Labour Court may exercise under this Chapter.

159. To be sent to a body having jurisdiction:–

If, in deciding a case filed with the Labour Court or Office under this Act or prevailing law, it is decided that it lacks jurisdiction, the Labour Court or Office must send the case file, fixing a date, to the body having jurisdiction for decision.

160. Procedure of cases:–

Other matters relating to the procedure of cases filed with the Labour Court shall be as prescribed.

161. Appeal to Supreme Court:–

(1) A party dissatisfied with an order or judgment made by the Labour Court, having conducted original proceedings and disposal of a case under this Act, may appeal to the Supreme Court within thirty-five days of hearing such order or judgment.

(2) A decision made by the Labour Court on appeal shall be final.

Chapter-23
Provisions relating to Complaint, Punishment and Appeal

162. May lodge complaint:–

If any person, employer, worker or official does any act contrary to this Act or the Rules framed under it, the aggrieved party, or, with the written consent of the aggrieved party, the concerned trade union, may lodge a complaint with the body empowered to decide under Section 163 or 164, within six months of the act.

163. Department or Office may decide:–

(1) The Department may, upon necessary investigation of a complaint received on the following matters, do as follows:

(a) fine a person who supplies workers without obtaining a licence under this Act, and a person who engages workers through such a supplier, up to two lakh rupees, and issue necessary orders subject to this Act;

(b) fine a person who engages a foreigner in work without obtaining a labour permit under this Act up to two lakh rupees based on the number of workers, and, if such person continues to engage the foreigner in work even after such punishment, impose an additional fine of five thousand rupees per person per month;

(c) fine a person who discriminates contrary to Chapter-2 in engaging or having engaged a person in work up to one lakh rupees and order that equality be established;

(d) fine a person who engages someone in work without giving an appointment letter or concluding an employment contract at the rate of ten thousand rupees per worker, up to five lakh rupees, and order that an appointment letter or employment contract be concluded;

(e) take departmental action under prevailing law against an Inspector who, under Chapter-15, negligently or in bad faith does any act causing loss or damage;

(f) issue necessary orders where anyone commits unfair labour practice, transfers a worker contrary to this Act to his/her disadvantage, or does anything contrary to the enterprise's bye-laws relating to promotion;

(g) where a matter for which a period is mentioned that must be carried out by the Office under this Act and the Rules framed under it has not been completed even within thirty days after expiry of that period, give necessary directives to the concerned Office;

(h) act as necessary to resolve a dispute arising between a labour supplier and principal employer regarding remuneration and facilities to be provided to workers.

(2) The Office may, upon necessary investigation of an application received on the following matters, do as follows:

(a) to cause an employer who engages a worker in work at less than the minimum remuneration, or who deducts remuneration or facilities contrary to this Act or the Rules framed under this Act, to pay to the concerned worker the deducted amount together with damages of up to double that amount;

(b) fine an employer, worker or other person who obstructs a government employee in the performance of duty, submits a false statement, gives a false statement, or exerts undue influence or attempts to do so, up to twenty thousand rupees;

(c) fine an employer who engages a person as a trainee or apprentice contrary to this Act at the rate of ten thousand rupees per trainee or apprentice, and order that such trainee or apprentice be placed in regular employment and given the resulting remuneration and facility;

(d) order an employer who fails to deposit the gratuity or provident fund amount, or the amount to be deposited in the Social Security Fund, receivable by a worker under this Act and the Rules framed under it, or who fails to pay medical treatment expenses or fails to insure for compensation, to pay such compensation together with damages of double that amount;

(e) direct an employer who keeps a worker on reserve contrary to this Act or in a discriminatory manner, not to do so;

(f) give necessary directives to an employer who terminates employment or prevents attendance at work contrary to this Act, the Rules framed under it, or the bye-laws.

(3) Nothing in this Section shall bar a worker from submitting an application to the employer following the process of individual dispute resolution and resolving the dispute accordingly.

(4) Disposal of a complaint received by the Department or Office shall be as prescribed.

164. Labour Court may decide:–

(1) If anyone engages a worker in bonded labour, the Labour Court may sentence such person to imprisonment for up to two years or a fine of up to five lakh rupees, or both, and cause such person to pay to the worker the worker's remuneration, allowance and facilities and double that amount as damages;

Provided that if a person has taken someone outside Nepal and made them bonded, the Labour Court shall order that such person also pay the expenses required to bring the victim back to Nepal.

(2) If, due to knowing or negligent violation of provisions relating to occupational safety and health mentioned in this Act or the Rules framed under it, anyone dies, or is maimed, or, due to any act done or not done, an occupational disease occurs causing death, or an organ becomes unusable, or a person's physical or mental condition is adversely affected, the person committing such act shall, where prevailing law provides for punishment, be

punished accordingly, and otherwise, the Labour Court may imprison such person for up to two years and cause appropriate compensation to be paid to the aggrieved person.

(3) If any offence punishable under this Act is committed by an organized institution, the institution shall be fined, and if the offence also carries imprisonment, the chief executive of the institution must be imprisoned.

165. Appeal:–

(1) A person dissatisfied with an order or decision made by the Department or Office under this Act or the Rules framed under it may appeal to the Labour Court within thirty-five days.

(2) A worker dissatisfied with any decision made by the employer terminating employment, or with punishment imposed for misconduct, may appeal to the Labour Court within thirty-five days of receiving notice of such decision or punishment.

(3) Notwithstanding sub-section (2), nothing shall bar an appeal as provided where an enterprise's bye-laws provide for internal appeal.

(4) Where an appeal has been made under sub-section (3), if notice of the decision on appeal is not received within sixty days from the date of receiving notice of the decision of the body hearing such appeal, or from the date of filing the appeal, the aggrieved party may appeal to the Labour Court within thirty-five days from that date.

166. Decision to be implemented:–

(1) A decision or judgment made by the Labour Court under this Act must be implemented by the concerned party after such decision or judgment becomes final or the period for appeal expires.

(2) An agreement or a arbitrator's decision reached between a worker or trade union and employer on an individual or collective claim, whether bilaterally, in the presence of the Office, or before any other body or authority, must be implemented in good faith by the concerned party.

(3) If the concerned party fails to implement the agreement or decision under sub-section (1) or (2), the other party may itself, or through a trade union or employers' organization, apply to the Office.

(4) On receiving an application under sub-section (3), the Office must write to the concerned employer or worker for implementation of such agreement, decision or judgment.

(5) On receiving such letter under sub-section (4), the concerned employer or worker must implement such agreement, decision or judgment within fifteen days of its receipt.

(6) [12]A decision made by the Department, Office, or an officer authorized to decide under this Act and the Rules framed under it must be implemented by the concerned party.

(7) [13]The Department or Office may take action, under this Act and the Rules framed under it, against a party that fails to implement a decision of the Department, Office or officer under sub-section (6).

167. Office to cause implementation of decision:–

(1) If a decision, judgment or agreement is not implemented under Section 166, the concerned party may apply to the Office.

(2) On receiving an application under sub-section (1), the Office may adopt any or all of the following measures in respect of the employer, enterprise or worker required to implement the decision or judgment, to cause its implementation:

(a) writing to the concerned body or officer to freeze immovable property, or to auction it;

(b) writing to freeze a bank account;

(c) writing to suspend or freeze any discount or concession receivable under prevailing law;

(d) suspending a labour permit or permit issued in the name of the concerned party;

(e) issuing any other appropriate order.

(3) On receipt of a letter for any act under sub-section (2), the concerned body must act accordingly.

(4) If the decision or judgment is not implemented within three months of an application under sub-section (1), or within fifteen days of completion of the process under sub-section (2) and (3), or if it is legally challenged, a complaint may be lodged with the Labour Court for punishment under Section 168.

168. May punish for failure to implement judgment, settlement or agreement:–

(1) The Labour Court must give notice, fixing a period, to the concerned party for implementation of a judgment of the Labour Court or Supreme Court on a labour matter.

(2) The Labour Court may fine up to one lakh rupees or imprison for up to one year an employer or worker who fails to implement an order, judgment of the Labour Court, or decision of a arbitrator, or an order of the Office for implementation of an agreement or consensus reached between employer and worker under this Act, or who delays or is slack in implementing it;

[12]Inserted by the Act Amending Some Nepal Acts, 2075.
[13]Inserted by the Act Amending Some Nepal Acts, 2075.

Provided that if the order, judgment, reconciliation, agreement or consensus is implemented within the period fixed by the Labour Court, the Labour Court may waive such punishment, or grant partial or full remission of punishment already imposed.

Chapter-24
Miscellaneous

169. Procedure relating to service of notice:–

(1) An employer must immediately accept a notice or summons sent by a worker, and a worker one sent by the employer, and give a receipt thereof.

(2) If a notice or summons under sub-section (1) cannot be served, and it is sent by registered post through a courier or postal service to the address of the concerned person, with one copy posted at the workplace, and with three witnesses, a memorandum prepared, and information thereof given to the Office, such notice or summons shall be deemed to have been received by the concerned party;

Provided that in the case of an application or notice given by a worker, it need not be posted at the workplace.

(3) If anyone refuses to accept such summons or notice, it may be sent by his/her fax, email or other electronic means of communication. Unless proven otherwise, such summons or notice shall be deemed to have been served.

(4) If the employer posts a notice on the workplace notice board regarding a matter to be collectively communicated, and gives written information thereof to active unions in the enterprise, such information shall be deemed to have been received by all workers.

170. Fixing of basic remuneration:–

(1) The basic remuneration of a worker in task-based employment shall be fixed as prescribed;

Provided that where not so fixed, the minimum remuneration fixed for the worker shall be deemed to be the basic remuneration.

(2) For a worker working on a piece-rate basis, the rate shall be fixed per piece on the basis of the minimum remuneration fixed under this Act, as prescribed.

171. Special provisions relating to manager and worker of managerial level:–

(1) Notwithstanding anything stated elsewhere in this Act, nothing in this Act shall bar keeping a worker of managerial level, in the capacity of chief executive, in time-bound employment, fixing service terms and facilities, and terminating employment.

(2) A manager and a worker of managerial level shall not be entitled to submit a collective claim on behalf of a trade union, participate in collective bargaining, or take part in a strike.

172. To receive remuneration and other facilities:–

(1) If a worker whose employment has been terminated is reinstated in employment under an order or judgment of the Office, Department or Labour Court, such worker shall receive remuneration and other facilities from the concerned employer from the date of termination of employment until reinstatement.

(2) Nothing in this Act shall bar deciding, on the basis of the subject matter of the case, that instead of reinstatement, the worker shall receive appropriate compensation from the employer in addition to the amount under sub-section (1).

173. To increase insurance amount:–

The Ministry may, on the recommendation of the Council, publish a notice in the Nepal Gazette to increase the amount of medical treatment insurance and accident insurance mentioned in this Act.

174. May delegate authority:–

The Ministry, Department or Office may delegate some or all of the authority conferred on it under this Act to be exercised by any office or officer. Notice of such delegation of authority must be published in the Nepal Gazette.

175. Protection for acts done in good faith:–

No action shall lie against a Labour Inspector, Occupational Safety and Health Inspector, or any employee deputed for inspection, employer, or worker, for any act done or intended to be done in good faith in the course of performing his/her duty under this Act or the Rules framed under it, even if it causes loss or damage to someone;

Provided that a person shall be personally liable in respect of any act done knowingly or with wrongful intent.

176. Special power of Ministry:–

Except for matters pending before the Labour Court under this Act, if it comes to notice that a party has suffered harassment because an application before the Office or Department has not been decided for a long time, or if it appears appropriate for the Ministry to take action on an application because the subject matter involved has become complex, nothing in this Act shall bar the Ministry from examining and deciding such application. A decision so made shall be deemed to be a decision of the original body, and a party dissatisfied with such decision may appeal to the Labour Court.

177. [14]Labour Coordination Committee:–

(1) There shall be a Labour Coordination Committee at the central level chaired by the Director General of the Department, with members as prescribed.

[14]Inserted by the Act Amending Some Nepal Acts, 2075.

(2) The functions, duties and powers of the Committee under sub-section (1) shall be as prescribed.

178. Transitional provisions:–

(1) A worker who is in permanent service at the time of commencement of this Act shall automatically be deemed to be a worker in regular employment under this Act.

(2) A person who, at the time of commencement of this Act, is in employment on contract, daily wage, or in any other manner, must nonetheless conclude an employment contract under Chapter-3. Nothing in this Act shall be deemed to affect the adjustment, within three months of commencement of this Act, of remuneration and facilities being received at the time of concluding such employment contract into the provident fund amount and other facilities payable under this Act.

(3) Nothing in this Act shall be deemed to adversely affect the service, terms and facilities of a worker who, at the time of commencement of this Act, is receiving a facility greater than mentioned in this Act under prevailing law or a collective agreement.

(4) For the purpose of sub-section (3), the facility fixed by the Act must be sent to the body prescribed, and the remaining facility must be provided by adjusting it under another heading.

(5) If a judgment made by the Office, Labour Court or any other court under the Labour Act, 2048 and the Trade Union Act, 2049 before commencement of this Act has not been implemented, and an application is made within one year of commencement of this Act, such judgment, decision or order must be implemented deeming it to have been made under this Act.

(6) Until separate legal provision is made regarding social security, the welfare fund established under Section 37 of the Labour Act, 2048 and Section 13 of the Bonus Act, 2030 shall continue to operate as before.

(7) Until a court is formed under this Act, the court existing at the time of commencement of this Act shall continue to function.

179. To be as per this Act:–

In matters mentioned in this Act and the Rules framed under it, this Act and the Rules shall apply, and in other matters, prevailing law shall apply.

180. This Act not to apply:–

(1) The following matters shall be as follows:

(a) this Act shall not apply to the Nepal Army, Nepal Police, [15]Armed Police Force, Nepal and National Investigation.

[15]Amended by the Act Amending Some Nepal Acts, 2082.

(b) in the case of civil service, the prevailing law relating to civil service shall apply.

(2) In the case of a service formed under special law and a special economic zone, if the service terms and facilities are mentioned in prevailing Nepal law itself, that shall apply to such service.

(3) If prevailing Nepal law makes no provision regarding a worker's remuneration, service terms and facilities, the provisions of this Act shall automatically apply to such worker's remuneration, service terms and facilities.

(4) In deciding, ordering or adjudging that this Act does not apply to a worker, the decision, order or judgment must also state under which law the rights and facilities conferred by this Act are provided to such worker.

(5) If an employer of an enterprise to which the Working Journalists Act, 2051 applies concludes an employment contract under this Act, or if the worker and employer of such enterprise conclude an agreement applying the provisions of this Act, the provisions of this Act shall apply to such worker as well.

181. To formulate and implement guidelines and procedure:–

(1) The Ministry may formulate and implement necessary guidelines and procedures for implementation of this Act and the Rules framed under it.

(2) The commodity-wise associations or federations of employers and the federations or confederations of trade unions may formulate and implement a code of good labour practice on policy matters relating to labour.

182. Power to make Rules:–

(1) The Nepal Government may make necessary Rules to implement this Act.

(2) In making Rules under sub-section (1), separate rules may be made for businesses, services, industries, or the informal sector of a special nature.

183. Repeal and saving:–

(1) The following Acts are repealed:

(a) Labour Act, 2048;

(b) [16]Industrial Apprentice Training Act, 2039;

(c) [17]Retirement Fund Act, 2042.

(2) Cases pending under the Acts mentioned in sub-section (1) shall be transferred to the Labour Court.

[16]Amended by the Act Amending Some Nepal Acts, 2075.
[17]Amended by the Act Amending Some Nepal Acts, 2075.

(3) Acts and actions done under the Acts mentioned in sub-section (1) shall be deemed to have been done under this Act.

Note: "Ministry of Labour and Employment" is now "Ministry of Labour, Employment and Social Security". Words converted by the Act Amending Some Nepal Acts, 2082: "Office" in place of "Labour Office".